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UNITED STATES DISTRICT COURT

SOUTHERN DISTRICT OF CALIFORNIA

UNITED STATES OF AMERICA, v. JOSE SUSUMO AZANO MATSURA, Defendant.	Case No. 14-CR-0388-001-MMA Memorandum of the United States In Support of Resentencing Date: November 18, 2019 Time: 10:00 a.m.

INTRODUCTION

The United States respectfully submits this Memorandum in Support of Resentencing upon remand from the Court of Appeals for the Ninth Circuit. The Ninth Circuit affirmed defendant Susumo Azano Matsura's (Azano's) convictions for conspiring to make unlawful campaign donations by a foreign national and to falsify campaign records (Count 1); substantively making unlawful campaign donations by a foreign national (Count 3); making a conduit contribution in connection with a federal election (Count 4); willfully falsifying campaign records in violation of 18 U.S.C. § 1519 (Counts 5-36); and illegally possessing a semi-automatic handgun (Count 39). Finding insufficient evidence as to Azano's willful obstruction of a federal investigation related to Count 37, the Ninth Circuit

reversed as to that count alone, and remanded for resentencing. The Third Superseding Indictment (Doc. 336) is attached as Exhibit 1 for reference.

Given this Court's prior concurrent 36-month custodial sentences as to each count of conviction and the allocation of the criminal fine among Counts 1, 3, and 4, the reversal of Count 37, based solely on insufficient evidence of Azano's intent to obstruct a federal investigation, had no effect whatsoever on this Court's underlying sentence, and thus, this Court should reimpose the same sentence, concurrent as to all counts of conviction.

FACTUAL BACKGROUND

The Court is well-versed in the facts of this case:[1]

Motivated by ego and greed, Susumo Azano Matsura ("Azano"), leading a host of conspirators, laundered nearly $600,000 in illegal foreign national campaign contributions into the 2012 election for San Diego's Mayor. Every penny was Azano's, but not a single penny was contributed in his name. Through an increasingly sophisticated array of illegal means – straw donor contributions (repaid using an envelope full of Azano's cash); illegal independent expenditure contributions (through Azano's airplane holding company, AirSam); corporate straw donor contributions via Marc Chase's stable of companies; and the concealed in-kind contributions of Ravi Singh's internet-based consulting services (laundered through Singh's software development company) – Azano and his conspirators funneled Azano's illegal foreign money into the mayoral race with the single goal of electing Azano a mayor, any mayor, who would do his bidding.

Not a single dollar was reported to election commissions. No voters knew who had funded Bonnie Dumanis or Bob Filner or the San Diego County Democratic Party or the Democratic Congressional Campaign Committee in 2012.

In return for his money, Azano sought to buy political influence. He wanted support for his vision of "Miami West"—a San Diego waterfront development project with a yacht

[1] The original Sentencing Memorandum of the United States (Doc. 852), including a lengthy recitation of the facts (pp. 4-8) as adduced at trial is attached as Exhibit 2 and its Sentencing Summary Chart (Doc. 851) as Exhibit 3.

marina, a branded five-star hotel, and luxury bayside condominiums, a development project that promised Azano hundreds of millions in profit. Azano also demanded access, like the ability to summon influential political figures to his home on a moment's notice or to obtain letters of reference to secure his son's admission to the University of San Diego.

According to testimony at trial, Azano's illegal money, in fact, made the difference in electing Bob Filner as Mayor of San Diego. Within weeks after the election, with the Mayor squarely in his pocket, Azano met in London with renowned Middle East-based master developers to refine his lucrative plans for "Miami West." A month after the election, Azano invited the developers to fly halfway around the globe to meet with him and Mayor Filner about the Miami West project, and just four days after Filner's inauguration, that meeting occurred, catered by Nobu, at Azano's Coronado mansion.

After a protracted trial, including testimony from dozens of witnesses, the consideration of more than a thousand documents, and hours of closing arguments, the jury convicted Azano of conspiring to willfully violate federal election laws and knowingly falsifying campaign finance records in order to impede a federal investigation. The jury convicted Azano of each of the 36 campaign finance fraud-related counts he faced. In a subsequent trial, a jury convicted Azano of illegally possessing a 9mm Sig Sauer handgun.

Despite overwhelming evidence to the contrary, at trial Azano argued that he gave no money to any campaign. His excuses and explanations were confounding. Azano has never expressed any remorse. He has accepted no responsibility.

SENTENCING

Upon careful consideration of the parties' submissions and lengthy arguments at the sentencing hearing, this Court sentenced Azano to 36-months custody and three-years supervised release "as to each count to run concurrently." This Court further sentenced Azano to pay a criminal fine "in the amount of $250,000.00 as to count 1, $250,000.00 as to count 2, and $60,955.00 as to count 4 for a total of $560,955.00." The Court's Judgment in a Criminal Case (Doc. 870) is attached as Exhibit 4.

APPEAL

On appeal to the Ninth Circuit, Azano (and co-defendant Ravneet Singh) raised a number of claims contesting their convictions. Neither defendant raised any issue, procedural or substantive, however, related to the sentences this Court imposed. In a robust published opinion, the Ninth Circuit affirmed Azano's (and Singh's) convictions, with the exception of one falsification of records count (Count 37), noting variously throughout the opinion that the evidence of guilt was "ample" or "overwhelming." United States v. Singh, 17-50337 (9th Cir. 2019) (Exh. 5).

In particular, the Ninth Circuit affirmed Azano's and Singh's conviction as to Count 1 for conspiring to make unlawful campaign contributions by a foreign national aggregating to over $25,000 in a calendar year, id. at 10-20, 35-38, as well as to Count 3 for substantively making unlawful campaign contributions by a foreign national, id. at 10-20, as to Count 4 for making a conduit contribution to a federal election, id. at 50, and as to Count 5-36 for willfully falsifying campaign records. Id. at 33-35. The Ninth Circuit also affirmed Azano's conviction on Count 39 for illegally possessing a Sig Sauer semiautomatic handgun with a laser scope. Id. at 38-46.

In reversing Count 37, citing the vagaries of a conversation between Singh and Filner campaign manager, Ed Clancy, the Ninth Circuit found insufficient evidence that Azano and Singh willfully obstructed a federal investigation by falsifying a campaign record. Id. at 30. In making this limited factual finding, the Ninth Circuit did not dispute, nor had it reason to, that Azano, Singh and others conspired to make the unlawful contributions, that Azano, in fact, made the unlawful contributions, that Azano made the unlawful contributions through Singh's in-kind work for the campaign, that Azano was a foreign national, or that Azano's contributions aggregated to over $25,000 in a calendar year. In this way, the Ninth Circuit carefully left Azano's convictions on Counts 1 and 3 undisturbed. Id. at 50.

Azano's state of mind with respect to Count 37, similarly, has nothing to do with the unrelated unlawful conduit contribution to the DCCC charged in Count 4 or

Azano's falsification of campaign records with an intent to obstruct a federal investigation as set forth in Counts 5-36. Nor, of course, does Count 37 have anything to do with illegally possessing a Sig Sauer semi-automatic handgun, as Azano was convicted of doing in Count 39. Like Count 1 and Count 3, the Ninth Circuit affirmed Azano's convictions as to each of these additional counts. Id. at 50.

SENTENCING RECOMMENDATION

The United States respectfully recommends that the Court re-impose upon Susumo Azano a period of incarceration of 36 months and a three-year period of supervised release, concurrent as to all counts of conviction; a fine of $560,955.00, allocated among Counts 1, 3, and 4; and a $3600 special assessment. After two years, a lengthy appeal to the Ninth Circuit, and a petition for rehearing en banc, nothing has substantively changed since Azano was convicted of campaign finance fraud and illegally possessing a firearm. The Ninth Circuit has affirmed the constitutionality and application of the criminal statutes at issue, the legal rulings by this Court on various trial issues, and the sufficiency of the evidence as to all germane facts adduced during the two jury trials in this matter. The calculation under the United States Sentencing Guidelines remains the same, as do all the facts relevant to the Court's consideration at resentencing. Indeed, Azano has never challenged any aspect of his sentence, either procedurally or substantively.

Under these circumstances, there is simply no legal or factual basis to change the sentence previously imposed as "to all counts of conviction." None of the thirty-six surviving counts of conviction has anything to do with the single insufficiency of the evidence that the Ninth Circuit identified relative to Count 37. Thus, given that Azano's conviction on thirty-six of thirty-seven counts was squarely affirmed by the Ninth Circuit, this Court should impose the exact same sentence as it did before.

CRIMINAL FINE

No criminal fine was ordered as to Count 37. Thus, this Court should re-impose a fine in the amount of $560,955.00, allocated, as before, "in the amount of $250,000.00 as to count 1, $250,000.00 as to count 2, and $60,955.00 as to count 4…."[2]

SPECIAL ASSESSMENT

Given the Ninth Circuit's reversal of Count 37, Azano does not owe a special assessment as to this count; therefore, this Court should impose a special assessment of $3600, amounting to $100 per each of the 36 counts of conviction.

[2] The Addendum to the Presentence Report (Doc. 978) prepared by the United States Probation Office appears to contain a typographical error in Paragraph 3 with respect to the criminal fine. Doc. 978 (noting the imposed fine as "$310,9955"). As set forth in the Judgment in a Criminal Case, however, the Court properly imposed a criminal fine of $560,955.00, allocated among Counts 1, 3, and 4. Exh. 4 at 4.

CONCLUSION

This Court should re-impose upon Susumo Azano Matsura a sentence of 36-momnth incarceration and three-years supervised release as to all counts of conviction to run concurrently; a $560,955.00 fine, as previously allocated among Counts 1, 3, and 4; and a mandatory special assessment of $3,600.

DATED: November 12, 2019

Respectfully submitted,

ROBERT S. BREWER, JR.
United States Attorney

/s/ ***Mark W. Pletcher***
MARK W. PLETCHER
PHILIP L.B. HALPERN
Assistant U.S. Attorneys

UNITED STATES DISTRICT COURT

SOUTHERN DISTRICT OF CALIFORNIA

UNITED STATES OF AMERICA, v. JOSE SUSUMO AZANO MATSURA, Defendant.	Case No. 14-CR-0388-001-MMA Certificate of Service

IT IS HEREBY CERTIFIED THAT:

I, Mark W. Pletcher, am a citizen of the United States and am at least eighteen years of age. My business address is 880 Front Street, Room 6293, San Diego, California 92101-8893. I am not a party to the above-entitled action.

I have caused service of this SENTENCING MEMORANDUM by electronically filing it with the U.S. District Court for the Southern District of California using its ECF System, which electronically notifies the parties.

I declare under penalty of perjury that the foregoing is true and correct.

Executed on November 12, 2019.

/s/ Mark W. Pletcher
Assistant U.S. Attorney

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UNITED STATES DISTRICT COURT

SOUTHERN DISTRICT OF CALIFORNIA

March 2015 Grand Jury

UNITED STATES OF AMERICA, Plaintiff, v. JOSE SUSUMO AZANO MATSURA (1), aka Mr. A., aka Mr. Lambo, RAVNEET SINGH (2), aka Ravi Singh, ELECTIONMALL, INC. (3), MARCO POLO CORTES (4), EDWARD SUSUMO AZANO HESTER (5), aka Susu, aka Junior, Defendants.	Case No. 14CR0388-MMA I N D I C T M E N T **(3rd Superseding)** Title 18, U.S.C., Sec. 371 - Conspiracy to Commit Offenses Against the United States; Title 2, U.S.C., Secs. 437g(d)(1)(A) and 441e(a)(1)(A) - Campaign Donation or Contribution by a Foreign National Aggregating At Least $25,000; Title 2, U.S.C., Secs. 437g(d)(1)(A) and 441f - Contribution in the Name of Another Aggregating At Least $25,000; Title 18, U.S.C., Sec. 1519 - Falsification of Records; Title 18, U.S.C., Sec. 201(b) - Bribery; Title 18, U.S.C., Sec. 2- Aiding and Abetting; Title 18, U.S.C., Sec. 922(g)(5)(B) - Alien in Possession of a Firearm; Title 18, U.S.C., Secs. 924(g) and 981(a)(1)(C) and Title 28, U.S.C., Sec. 2461(c) - Criminal Forfeiture[1]

The grand jury charges:

The Integrity of the Electoral Process

1. United States citizens have a right to choose their political representatives through free and fair elections. To promote

[1] As of September 1, 2014, the relevant Federal Election Campaign statutes were reclassified at Title 52, United States Code, Sections 30109, 30121, and 30122.

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the integrity of these elections, Congress enacted a series of rules that govern campaign fundraising.

2. These campaign finance rules are integral to democracy and in ensuring accountability and transparency in elections.

3. Congress promotes transparency in elections by prohibiting the use of "conduit contributions" made by "straw" donors, as well as other methods designed to conceal the source of campaign financing. A conduit contribution is one that is made by a person (referred to as the straw donor) on behalf of another person who reimburses the straw donor for the money given to the candidate.

4. In addition to prohibiting conduit contributions, Congress attempted to curtail foreign influence in elections by prohibiting any "foreign national" from making donations, contributions, or expenditures in support of any candidate at the federal, state, or local level. A "foreign national" is an individual who is not a United States citizen or national, and who is not a lawful permanent resident of the United States.

Campaigns for Elective Office in San Diego

5. In 2012 and 2013, a series of elections took place within the Southern District of California. During the 2012 primary election cycle, a person hereinafter referred to as "Candidate 1" ran for the office of Mayor of San Diego.

6. During the 2012 primary and general election cycles, a person hereinafter referred to as "Candidate 2" ran for the office of United States Representative for the 51st Congressional District of California.

7. Also during the 2012 primary and general election cycles, a person hereinafter referred to as "Candidate 3" ran for the office of Mayor of San Diego.

8. During a 2013 special election cycle, a person hereinafter referred to as "Candidate 4" ran for the office of Mayor of San Diego.

Campaign Finance Methods and Public Records

9. During the above elections, there were various ways to legally provide financial assistance to a candidate's campaign for office.

10. For example, a United States citizen could make a contribution or donation directly to a candidate. Contributions and donations could be made in the form of money, or in the form of some other thing of value, such as goods or services. When a person made a donation in the form of goods or services, it would generally be referred to as an "in-kind" contribution or donation.

11. Also for example, a U.S. citizen could make a contribution or donation to an independent expenditure committee, also referred to as an "IE," "PAC," or "SuperPAC." Similarly, a citizen could make a contribution or donation to a committee of a political party. These independent expenditure committees and political party committees, in turn, could spend the money to support a particular candidate.

12. These various types of financial support and in-kind spending had to be reported to government agencies, which maintained records that the public and law enforcement agencies could access.

13. For instance, the Federal Election Commission maintained a record of contributions made in connection with federal elections. The State of California maintained a record of donations to political committees organized at the county level. The City of San Diego

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maintained a record of donations to campaigns and independent expenditure committees, as well as a record of expenditures made by independent expenditure committees.

Individuals Involved

14. JOSE SUSUMO AZANO MATSURA, aka Mr. A., aka Mr. Lambo ("AZANO"), was a businessman who maintained residences around the country, including two houses in Coronado, California. Among other things, AZANO provided eavesdropping software and other technology to foreign governments.

15. Although maintaining residences in Coronado, AZANO was a Mexican citizen, and had never applied for, nor obtained, United States citizenship or lawful permanent resident status in the United States. As a result, AZANO was a "foreign national" and thus prohibited from making donations and contributions – directly or indirectly – in support of any candidate for elective office in the United States at the federal, state, or local level.

16. In or about 2011, AZANO began to insert himself in San Diego politics. As part of his involvement, AZANO attempted to ingratiate himself with San Diego politicians and made large donations in support of candidates for elective office in San Diego.

17. RAVNEET SINGH, aka Ravi Singh ("SINGH"), was the President of ELECTIONMALL, INC. ("ELECTIONMALL") and at all times worked on its behalf and for its benefit. According to its website, ELECTIONMALL specialized in providing social media services to political campaigns throughout the world. SINGH, who styled himself as a "campaign guru," worked principally out of offices in Washington, D.C.

18. Marc Alan Chase ("Chase") (charged elsewhere), was a United States citizen and the managing member of South Beach

Acquisitions, Inc. (charged elsewhere) and West Coast Acquisitions, LLC (charged elsewhere). On behalf of and at the direction of AZANO, Chase: (i) recruited straw donors to make indirect donations on AZANO's behalf to Candidate 1 and paid them back with AZANO's funds; and (ii) agreed to make indirect contributions and donations on AZANO's behalf to independent expenditure committees and political party committees for Candidates 2 and 3 through his company's checking accounts, knowing that he would be reimbursed by AZANO for those checks.

19. EDWARD SUSUMO AZANO HESTER, aka Susu, aka Junior ("E.S. AZANO"), was a United States citizen and AZANO's son. On behalf of and at the direction of AZANO, E.S. AZANO recruited straw donors to make indirect donations on AZANO's behalf to Candidate 1.

20. "J.W." was a United States citizen who worked for AZANO. On behalf of AZANO and at the direction of E.S. AZANO, J.W. recruited straw donors to make indirect donations on AZANO's behalf to Candidate 1.

21. "D.D." was a United States citizen and E.S. AZANO's business associate and friend. On behalf of AZANO and at the direction of E.S. AZANO, D.D. recruited straw donors to make indirect donations on AZANO's behalf to Candidate 1.

22. "E.L." was a United States citizen and AZANO's personal secretary. On behalf of and at the direction of AZANO, E.L. recruited straw donors to give indirect donations on AZANO's behalf to Candidate 1.

23. Ernesto Encinas ("Encincas") (charged elsewhere), was a retired San Diego Police Department ("SDPD") detective and the owner

of a private security and consulting business. Among other jobs, Encinas oversaw AZANO's protection detail.

24. MARCO POLO CORTES ("CORTES") was a San Diego-based lobbyist. According to public filings, CORTES lobbied SDPD officials, city councilmembers, members of council staff, and mayoral staff on a variety of political issues.

FBI's Jurisdiction

25. The Federal Bureau of Investigation ("FBI") was a United States executive branch agency. Among other things, the FBI was responsible for investigating the potential influence of foreign money in American elections, including the donations, contributions, and expenditures of foreign nationals. The FBI was further responsible for investigating illegal campaign contributions and expenditures of all types, as well as the bribery and attempted bribery of public officials.

Count 1: Conspiracy

(18 USC § 371)

26. Paragraphs 1 through 25 of this Indictment are realleged and incorporated by reference.

27. Beginning on a date unknown and continuing up through September 2013, within the Southern District of California and elsewhere, defendants JOSE SUSUMO AZANO MATSURA, aka Mr. A., aka Mr. Lambo, RAVNEET SINGH, aka Ravi Singh, ELECTIONMALL, INC., MARCO POLO CORTES, and EDWARD SUSUMO AZANO HESTER, aka Susu, aka Junior, knowingly conspired together and with Ernesto Encinas (charged elsewhere), Marc Alan Chase (charged elsewhere), and others to commit offenses against the United States, to wit:

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a. Campaign Donations and Contributions by a Foreign National Aggregating At Least $25,000 in a Calendar Year, in violation of Title 2, United States Code, Sections 437g(d)(1)(A) and 441e(a)(1)(A) (recodified at Title 52, United States Code, Sections 30109(d)(1)(A) and 30121(a)(1)(A)); and

b. Falsification of Records, in violation of Title 18, United States Code, Section 1519.

Manner and Means of the Conspiracy

28. In furtherance of this conspiracy, and to effect its objects, defendants JOSE SUSUMO AZANO MATSURA, aka Mr. A., aka Mr. Lambo, RAVNEET SINGH, aka Ravi Singh, ELECTIONMALL, INC., MARCO POLO CORTES, EDWARD SUSUMO AZANO HESTER, aka Susu, aka Junior, and other conspirators used the following manner and means, among others:

a. AZANO and others surveyed candidates for various elective offices in San Diego to determine which ones they should support.

b. AZANO sought private meetings with candidates.

c. Encinas and CORTES acted as intermediaries for AZANO, communicating with campaign staff and other stakeholders about how AZANO might be able to lend financial support.

d. Once AZANO decided to support a candidate, he and his co-conspirators designed secret, illicit methods of contributing to the candidate's campaign, knowing that AZANO could not finance the campaigns directly because of campaign contribution/donation limits and his status as a foreign national.

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e. On some occasions, AZANO used individuals as conduits, or "straw donors," to facilitate his campaign donations. These straw donors would be provided with money up front, or reimbursed later, for any donations they made on his behalf.

f. On yet other occasions, AZANO recruited a family member to locate other potential "straw donors," who were willing to funnel AZANO's money to candidates.

g. On one occasion, AZANO recruited Chase to act as a conduit to illegally funnel large amounts of cash. At AZANO's direction, Chase wrote checks to political parties and independent expenditure committees that would support AZANO's chosen candidates. AZANO also used companies and an independent expenditure committee of his own creation to direct money to the candidates he supported.

h. As AZANO used increasingly secret ways of influencing political campaigns, he and SINGH arranged unreported in-kind contributions to various candidates. In particular, using his company, ELECTIONMALL, SINGH provided social media services to candidates that AZANO supported.

i. AZANO funded ELECTIONMALL's services, using a Mexico-based company to transmit payment to ELECTIONMALL's bank account, and never provided any invoice or other bill of costs to the campaigns themselves.

j. Ultimately, AZANO, SINGH, CORTES, and others ensured that AZANO's name did not appear on public filings in

connection with the illegal contributions and donations because they knew AZANO was not allowed to finance campaigns directly as a foreign national, and they knew it was illegal to evade campaign contribution and donation limits in the manner AZANO was doing.

Overt Acts

29. In furtherance of the conspiracy and to effect its objects, the following overt acts, among others, were committed within the Southern District of California and elsewhere:

Early Financial Support of Candidate 1

a. In late December 2011, AZANO instructed E.S. AZANO to recruit friends and associates to act as straw donors to make indirect donations on AZANO's behalf to Candidate 1.

b. In late December 2011, E.S. AZANO delivered thousands of dollars in cash, as well as preprinted envelopes, to straw donors whom he had recruited for AZANO. In late December 2011, AZANO instructed E.L. to recruit one of his employees, "A.G.," to act as straw donor (along with A.G.'s wife) to make indirect donations on AZANO's behalf.

c. On December 21, 2011, J.W. (a straw donor recruited by E.S. AZANO) sent an email to six of his friends, stating in part: "I need to get a $500 check from you to help Susu and His Father support the soon to be Mayor Bonnie Dumanis. We will give you the cash right away so you won't lose any money but your support is appreciated and very much needed."

d. On December 23, 2011, E.L. deposited $1,000 in A.G.'s bank account to reimburse A.G. for the check he and his wife submitted to Candidate 1 on behalf of AZANO.

e. In late December 2011, AZANO instructed Chase to recruit employees and friends to act as straw donors to make indirect donations to Candidate 1 on AZANO's behalf.

f. In late December 2011, AZANO caused approximately $10,000 in cash, as well as preprinted envelopes, to be delivered to Chase.

g. Between December 2011 and January 2012, as instructed, Chase recruited employees and friends to donate to Candidate 1, giving them each between $500 and $1,000 of the money AZANO had provided, and advising many that the cash had come from AZANO.

h. In late 2011 or early 2012, AZANO met Candidate 1 at AZANO's Coronado house.

i. In about May 2012, AZANO agreed to create, and did help create, an independent expenditure committee supporting Candidate 1.

j. On or about May 2, 2012, AZANO contributed $100,000 to the independent expenditure committee.

<u>AZANO's In-Kind Donations to Candidate 1</u>

k. On or about February 26, 2012, ELECTIONMALL sent an email, copying SINGH and AZANO, and attaching an invoice that reflected $75,000 for "promot[ing]" online outreach in support of Candidate 1.

l. On or about March 13, 2012, ELECTIONMALL sent another email, again copying SINGH and AZANO, stating: "Enclosed is the invoice for the betty boo project for 100k it was originally 75 but Mr Singh explained the need for the additional 25 during his last visit to San Diego and Mr A verbally agreed [sic]."

m. On or about June 13, 2012, SINGH sent an email to Encinas telling him not to discuss their illegal campaign financing in writing, only in person. Specifically, in response to an Encinas email concerning SINGH's unreported services for Candidate 1, SINGH wrote, in part, "I am not responding to this email. Because of the legal ramifications. Please talk to me . . . in person."

AZANO's Straw Donations to Candidates 2 and 3

n. On or about August 17, 2012, AZANO, CORTES, Encinas, and Candidate 3 met at AZANO's house in Coronado, California.

o. On or about August 21, 2012, CORTES received, and forwarded to Encinas, an email from a representative of Candidate 2 that included a link to the Federal Election Commission's rules governing the prohibition against contributions by foreign nationals.

p. On or about September 17, 2012, AZANO met Candidate 2 for dinner in downtown San Diego.

q. In about August and September, 2012, AZANO, CORTES, and Encinas discussed how best to support Candidate 2's and Candidate 3's campaigns.

r. In or about September 2012, AZANO instructed Chase to make certain large contributions and donations in support of Candidates 2 and 3.

s. On or about September 24, 2012, at AZANO's direction, Chase wrote a $30,000 check to a political party committee associated with Candidate 2's campaign for federal office.

t. On or about September 27, 2012, at AZANO's direction, Chase wrote a $120,000 check to an independent expenditure committee supporting Candidate 3's campaign for mayor.

u. On or about September 27, 2012, at AZANO's direction, Chase wrote a $30,000 check to a political party committee associated with Candidate 3's campaign for mayor.

v. In September or October 2012, CORTES personally delivered the $120,000 check to a representative of the independent expenditure committee.

w. On or about October 2, 2012, AZANO caused a $380,000 check to be given to Chase to cover the purchase of $200,000 worth of artwork and $180,000 as reimbursements for the campaign contributions he had written on or about September 24 and 27, 2012.

AZANO's In-Kind Donations to Candidate 3

x. In or about October 2012, SINGH, Encinas, and CORTES visited Candidate 3's campaign offices and told staff that they were authorized to handle Candidate 3's social media efforts.

y. In or about October 2012, when asked to provide a quote for their services, SINGH represented that the expenses would be "taken care of."

z. In or about October 2012, SINGH and CORTES created a "war room" within the campaign offices of Candidate 3.

aa. On or about October 15, 2012, AZANO caused a Mexico-based company to transmit $96,980 to ELECTIONMALL (via a bank account for eSolutions R&D Lab, LLC) for the purpose of funding social media services supporting Candidate 3.

bb. On or about October 29, 2012, AZANO caused the same Mexico-based company to transmit $94,975 to ELECTIONMALL (via a bank account for eSolutions R&D Lab, LLC) for the purpose of funding social media services supporting Candidate 3.

cc. In or about December 2012, AZANO invited Candidate 3 to his home in Coronado Cays.

<u>The Special Mayoral Election</u>

dd. On or about August 1, 2013, acting as AZANO's agent, Encinas spoke with a personal friend of Candidate 4 (who did not know about the meeting) and asked whether Candidate 4 would be interested in "foreign investment."

ee. On or about August 28, 2013, Encinas and CORTES met with the friend of Candidate 4 (who did not know about the meeting) to discuss how AZANO might be able to support his candidacy.

All in violation of Title 18, United States Code, Section 371.

Count 2: Conspiracy

(18 USC § 371)

30. Paragraphs 1 through 25 of this Indictment are realleged and incorporated by reference.

31. Beginning on a date unknown and continuing through September 2013, within the Southern District of California and elsewhere, defendants JOSE SUSUMO AZANO MATSURA, aka Mr. A., aka Mr. Lambo, and MARCO POLO CORTES knowingly conspired together and with Ernesto Encinas (charged elsewhere), Marc Alan Chase (charged elsewhere), and others to commit an offense against the United States - to wit, Contribution in the Name of Another Aggregating At Least $25,000 in a Calendar Year, in violation of Title 2, United States Code, Sections 437g(d)(1)(A) and 441f (recodified at Title 52, United States Code, Sections 30109(d)(1)(A) and 30122).

32. In furtherance of the conspiracy and to effect its object, the following overt acts, among others, were committed within the Southern District of California and elsewhere:

a. In or about September 17, 2012, AZANO met Candidate 2 for dinner in downtown San Diego.

b. In about August and September, 2012, AZANO, CORTES, and Encinas discussed how best to support Candidate 2's and Candidate 3's campaigns.

c. In or about September 2012, AZANO, accompanied by Encinas, instructed Chase to make certain large contributions in support of Candidates 2 and 3.

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d. On or about September 24, 2012, at AZANO's direction, Chase wrote a $30,000 check to a political party committee associated with Candidate 2's campaign for federal office.

All in violation of Title 18, United States Code, Section 371.

Count 3: Donation and Contribution by a Foreign National

(2 USC §§ 437g(d)(1)(A) and 441e(a)(1)(A) & 18 USC § 2)

33. Paragraphs 1 through 25 of this Indictment are realleged and incorporated by reference.

34. From in or about May 2012 through in or about November 2012, within the Southern District of California, defendants JOSE SUSUMO AZANO MATSURA, aka Mr. A., aka Mr. Lambo, RAVNEET SINGH, aka Ravi Singh, ELECTIONMALL, INC., MARCO POLO CORTES, and EDWARD SUSUMO AZANO HESTER, aka Susu, aka Junior, knowingly and willfully did, directly and indirectly, make contributions and donations of a foreign national aggregating at least $25,000 during a calendar year in connection with Federal and local elections - to wit,

a. by donating $100,000 of AZANO'S money to an independent expenditure committee that supported Candidate 1's campaign for the office of Mayor of San Diego during the 2012 primary election cycle;

b. by donating at least $75,000 of services to Candidate 1's campaign for the office of Mayor of San Diego during the 2012 primary election cycle, as financed by AZANO;

c. by contributing $30,000 of AZANO's money to a political committee that supported candidates for federal office;

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d. by donating $120,000 of AZANO's money to an independent expenditure committee that supported Candidate 3's campaign for the office of Mayor of San Diego during the 2012 general election cycle;

e. by making a donation of $30,000 to a political committee that supported Candidate 3's campaign for the office of Mayor of San Diego during the 2012 general election cycle; and

f. by donating services worth approximately $191,955, financed by defendant AZANO to Candidate 3's campaign for the office of Mayor of San Diego during the 2012 general election cycle;

all in violation of Title 2, United States Code, Sections 437g(d)(1)(A) and 441e(a)(1)(A) (recodified at Title 52, United States Code, Sections 30109(d)(1)(A) and 30121(a)(1)(A)), and Title 18, United States Code, Section 2.

Count 4: Contribution in the Name of Another

(2 USC §§ 437g(d)(1)(A) and 441f & 18 USC § 2)

35. Paragraphs 1 through 25 of this Indictment are realleged and incorporated by reference.

36. On or about September 24, 2012, within the Southern District of California and elsewhere, defendants JOSE SUSUMO AZANO MATSURA, aka Mr. A., aka Mr. Lambo, and MARCO POLO CORTES knowingly and willfully made a contribution in the name of another person aggregating at least $25,000 during a calendar year in connection with Federal elections – to wit, by contributing $30,000 of defendant AZANO's money in Marc Chase's name to a committee of a political party supporting federal candidates; all in violation of Title 2, United States Code,

Sections 437g(d)(1)(A) and 441f (recodified at Title 52, United States Code, Sections 30109(d)(1)(A) and 30122), and Title 18, United States Code, Section 2.

Counts 5-37: Falsification of Records Related to Campaign Finance

(18 USC §§ 1519 & 2)

37. Paragraphs 1 through 25 of this Indictment are realleged and incorporated by reference.

38. On or about the dates below, within the Southern District of California and elsewhere, defendants JOSE SUSUMO AZANO MATSURA, aka Mr. A., aka Mr. Lambo, RAVNEET SINGH, aka Ravi Singh, ELECTIONMALL, INC., MARCO POLO CORTES, and EDWARD SUSUMO AZANO HESTER, aka Susu, aka Junior, as set forth below, knowingly concealed, covered up, falsified, and made a false entry in a record and document with the intent to impede, obstruct, and influence the investigation and proper administration of matters within the jurisdiction of the Federal Bureau of Investigation, and in relation to and in contemplation of such matters - to wit, by concealing and covering up, in records specified below, the fact that defendant AZANO was the true source of the following campaign donations and contributions:

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COUNT	DATE	DEFENDANTS	RECORD	APPROX. AMOUNT	FALSELY REPRESENTED TO BE MADE BY
5	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$1000	A.G. and L.G.
6	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	J.W.
7	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	P.M.
8	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	M.K.
9	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	M.G.
10	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	B.D.
11	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	R.L.
12	12/31/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	M.N.
13	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	I.D.
14	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	J.G.
15	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	A.D.

COUNT	DATE	DEFENDANTS	RECORD	APPROX. AMOUNT	FALSELY REPRESENTED TO BE MADE BY
16	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	R.G.
17	12/29/11	AZANO; E.S. AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	B.H.
18	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	Marc Chase
19	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	R.C.
20	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	O.F.
21	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	L.Z.
22	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	S.H.
23	12/31/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	K.H.
24	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	C.P.
25	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	R.A.
26	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	E.G.

COUNT	DATE	DEFENDANTS	RECORD	APPROX. AMOUNT	FALSELY REPRESENTED TO BE MADE BY
27	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	T.G.
28	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	W.N.
29	12/29/11	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	S.N.
30	1/2/12	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	Mi.P.
31	1/2/12	AZANO	San Diego City Clerk's Record of Donations to Candidate 1	$500	Ma.P.
32	February 2012	AZANO; SINGH; ELECTIONMALL	San Diego City Clerk's Record of Donations to Candidate 1	at least $75,000	Unreported
33	5/2/12	AZANO	San Diego City Clerk's Record of Independent Expenditure Committees Supporting Candidate 1	$100,000	Airsam N492RM, LLC
34	9/24/12	AZANO; CORTES	Federal Election Commission's Record of Donations	$30,000	Marc Chase
35	9/27/12	AZANO; CORTES	San Diego City Clerk's Record of Independent Expenditure Committees Supporting Candidate 3	$120,000	South Beach Acquisitions, Inc.

COUNT	DATE	DEFENDANTS	RECORD	APPROX. AMOUNT	FALSELY REPRESENTED TO BE MADE BY
36	10/4/12	AZANO; CORTES	California Secretary of State Record of Donations to Political Parties	$30,000	West Coast Acquisitions, LLC
37	October 2012	AZANO; SINGH; CORTES; ELECTIONMALL	San Diego City Clerk's Record of Donations to Candidate 3	$191,955	Unreported

All in violation of Title 18, United States Code, Sections 1519 and 2.

Count 38: Bribery

(18 USC §§ 201(b) & 2)

39. Beginning in approximately December 2013 and continuing to approximately January 2014, within the Southern District of California and elsewhere, defendants RAVNEET SINGH, aka Ravi Singh, and ELECTIONMALL, INC., directly and indirectly, corruptly gave, offered, and promised a thing of value to a public official with the intent to influence an official act and to induce that public official to do an act and omit to do an act in violation of his lawful duties – to wit, by offering and giving $1,000 to a federal official, O.M., a Special Agent with the Federal Bureau of Investigation posing as an agent with the Drug Enforcement Administration, in exchange for confidential and classified information; all in violation of Title 18, United States Code, Sections 201(b) and 2.

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Count 39: Alien in Possession of a Firearm

(18 USC § 922(g)(5)(B))

40. Beginning on an unknown date and continuing up to on or about January 22, 2014, within the Southern District of California and elsewhere, defendant JOSE SUSUMO AZANO MATSURA, aka Mr. A., aka Mr. Lambo, then being an alien admitted to the United States under a nonimmigrant visa – and not having been admitted to the United States for lawful hunting or sporting purposes, and not possessing any hunting license or permit lawfully issued in the United States, and not having received a waiver from the Attorney General – knowingly possessed in and affecting interstate commerce, a firearm – to wit, a black Sig Sauer P225 bearing serial number M634983, said firearm having been shipped and transported in interstate commerce; in violation of Title 18, United States Code, Section 922(g)(5)(B).

FORFEITURE ALLEGATIONS

41. Upon conviction of the offense alleged in Count 38 of this Indictment, defendants RAVNEET SINGH, aka Ravi Singh, and ELECTIONMALL, INC., shall forfeit to the United States all property, real and personal, which constitutes or is derived from proceeds traceable to the violation of Title 18, United States Code, Section 201, including but not limited to $1,000; all in violation of Title 18, United States Code, Section 981(a)(1)(C), and Title 28, United States Code, Section 2461(c).

42. If any of the above-described forfeited property, as a result of any act or omission of defendants RAVNEET SINGH, aka Ravi Singh, or ELECTIONMALL, INC., cannot be located upon the exercise of due diligence; has been transferred or sold to, or deposited with, a third person; has been placed beyond the jurisdiction of the Court;

has been substantially diminished in value; or has been commingled with other property which cannot be subdivided without difficulty, it is the intent of the United States, pursuant to Title 21, United States Code, Section 853(p), made applicable herein by Title 28, United States Code, Section 2461(c), to seek forfeiture of any other property of the defendants up to the value of the property described above subject to forfeiture.

43. Upon conviction of the offense alleged in Count 39 of this Indictment, defendant JOSE SUSUMO AZANO MATSURA, aka Mr. A., aka Mr. Lambo, shall forfeit to the United States, pursuant to Title 18, United States Code, Section 924(d), and Title 28, United States Code, Section 2461(c), all firearms and ammunition involved in the commission of the offense, including but not limited to the following: the black Sig Sauer P225 bearing serial number M634983, and all ammunition found with it; all pursuant to Title 18, United States Code, Sections 924(g), and 981(a)(1)(C), and Title 28, United States Code, Section 2461(c).

DATED: July 8, 2016.

A TRUE BILL:

Foreperson

ALANA W. ROBINSON
Attorney for the United States
Acting Under Authority Conferred by Title 28,
United States Code, Section 515

By: _____
ANDREW G. SCHOPLER
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UNITED STATES DISTRICT COURT

SOUTHERN DISTRICT OF CALIFORNIA

UNITED STATES OF AMERICA, v. JOSE SUSUMO AZANO MATSURA, Defendant.	Case No. 14-CR-0388-001-MMA Memorandum of the United States In Support of Sentencing Date: October 27, 2017 Time: 2:00 p.m.

INTRODUCTION

"It is fundamental to the definition of our national political community that foreign citizens do not have a constitutional right to participate in, and thus may be excluded from, activities of democratic self-government." *Bluman v. Fed. Election Comm'n*, 800 F. Supp. 2d 281, 288 (D.D.C. 2011), *aff'd*, 565 U.S. 1104 (2012). Since at least 1938, Congress has passed laws designed to preserve self-governance by prohibiting foreign influence in American elections. *Viereck v. United States*, 318 U.S. 236, 241 (1943). Indeed, "distinguishing citizens from non-citizens in this context is . . . part of a common

international understanding of the meaning of sovereignty and shared concern about foreign influence over elections." *Bluman*, 800 F. Supp. 2d at 292.

Motivated by ego and greed, Jose Susumo Azano Matsura ("Azano"), leading a host of conspirators, laundered nearly $600,000 in illegal foreign national campaign contributions into the 2012 election for San Diego's Mayor. Every penny was Azano's, but not a single penny was contributed in his name. Through an increasingly sophisticated array of illegal means – straw donor contributions (repaid using an envelope full of Azano's cash); illegal independent expenditure contributions (through Azano's airplane holding company, AirSam); corporate straw donor contributions via Marc Chase's stable of companies; and the concealed in-kind contributions of Ravi Singh's internet-based consulting services (laundered through Singh's software development company) – Azano and his conspirators funneled Azano's illegal foreign money into the mayoral race with the single goal of electing Azano a mayor, any mayor, who would do his bidding.

Not a single dollar was reported to election commissions. No voters would know who had funded Bonnie Dumanis or Bob Filner or the San Diego County Democratic Party or the Democratic Congressional Campaign Committee in 2012.

In return for his money, Azano sought to buy political influence. He wanted support for his vision of "Miami West"—a San Diego waterfront development project with a yacht marina, a branded five-star hotel, and luxury bayside condominiums, a development project that promised Azano hundreds of millions in profit. Azano also demanded access, like the ability to summon influential political figures to his home on a moment's notice or to obtain letters of reference to secure his son's admission to the University of San Diego.

According to testimony at trial, Azano's illegal money, in fact, made the difference in electing Bob Filner as Mayor of San Diego. Ex. 1. Within weeks after the election, with the Mayor squarely in his pocket, Azano met in London with renowned Middle East-based master developers to refine his lucrative plans for "Miami West." A month after the election, Azano invited the developers to fly halfway around the globe to meet with him and Mayor Filner about the Miami West project, and just four days after Filner's

inauguration, that meeting occurred, catered by Nobu, at Azano's Coronado mansion. In an unexpected turn of events, however, derailing even this, the best laid of illegal schemes, Filner ignominiously resigned six months later amid allegations of sexual misconduct.

After a protracted trial, including testimony from dozens of witnesses, the consideration of more than a thousand documents, and hours of closing arguments, the jury convicted Azano of conspiring to willfully violate federal election laws and knowingly falsifying campaign finance records in order to impede a federal investigation. Indeed, the jury convicted Azano of each of the 36 campaign finance fraud-related counts he faced.[1]

The jury's resounding verdicts serve as stark condemnation of Azano's willful efforts to undermine the fundamental principles of American representative democracy. Despite overwhelming evidence to the contrary, at trial Azano argued that he gave no money to any campaign. His array of excuses, bluffs, and explanations was dizzying. Azano has expressed zero remorse. He has accepted no responsibility.

The sentence imposed in this case must reflect the gravity of Azano's offenses, including proportionately his leadership role in the conspiracy. It must justly punish. It must, as well, promote respect for the laws and fundamental institutions of America, while deterring Azano and others from secretly funding future campaigns.

If our representative democracy matters, the integrity of the electoral system matters. The Court's sentence in this case will determine how much.

SENTENCING RECOMMENDATION

The United States respectfully recommends that the Court impose upon Susumo Azano a period of incarceration of 72 months, a fine of $560,955.00, a three-year period of supervised release, and a $3700 special assessment.

As described below, after application of the United States Sentencing Guidelines, including specific offense enhancements in Section 2, and applicable departures in Section

[1] In a subsequent trial, a jury convicted Azano of illegally possessing a semi-automatic 9mm Sig Sauer handgun with a laser scope, the last remaining count with which he was charged.

3, defendant's properly calculated Adjusted Offense Level is 34. According to the United States Probation Office, defendant has zero criminal history points, resulting in Criminal History Category I. That results in an advisory sentencing range of 151-188 months.

Upon consideration of the additional sentencing factors in Section 5 and the statutory sentencing components set forth in 18 U.S.C. § 3553(a), the United States recommends a more than 50% reduction from the advisory Guidelines sentence, resulting in a "recommended sentence" of 72-months' incarceration. The sentence will account for the aggravated nature and circumstances of the offense and Azano's role as the conspiracy's leader, consider the history and characteristics of this defendant, promote respect for the law and the institutions of the United States, afford adequate specific and general deterrence, provide just punishment, and avoid unwarranted sentencing disparities.

FACTUAL BACKGROUND

The Court is well-versed in the evidence presented during this eight-week trial. In convicting Azano, the jury rejected his defense that he did not contribute money to any political campaign, directly or indirectly, in cash or in kind. The jury rejected Azano's tactics, bluffs, and invitations to misdirection; and it rejected his repeated objections and assertions that this was all someone else's doing, contrived after the fact to frame him. Appropriately so. As set forth, in part, below, the evidence of Azano's guilt for conspiring to willfully violate federal election laws and to knowingly falsify campaign finance records in order to impede a federal investigation was overwhelming.

As adduced at trial, the jury heard that Azano convened a meeting of his coterie on Christmas Day 2011, summoning Ravneet Singh from Mexico City, specifically to discuss Azano's support for Bonnie Dumanis in the upcoming mayoral primary. Dumanis participated via teleconference. Dumanis reported from that first conference call that Azano was "helping to raise money from his family and friends," and that Singh was there to assist as a consultant. GEX 24-1 (reciting "got a call, a conference call, from Ernie Encinas, Susumo Azano and Ravi Singh" and Azano wanted Dumanis to "talk to [Singh] because he is a master of Internet campaign stuff."). Wolter testified that he solicited straw

donors on December 21, 2011 "to help Susu and [h]is Father support the soon to be Mayor Bonnie Dumanis." GEX 11-1. Marc Chase, likewise, testified that at Azano's behest, he solicited straw donations from his friends and employees at Symbolic Motors.

Dozens of straw donors eventually agreed to cut checks to the Dumanis campaign. *See e.g.*, GEX 4-2 (12/21/11 donation by Abel Garcia); 6-3 (12/28/11 donation by Jose Garcia); 7-4 (12/28/11 donation by Marcel Kasmer); 8-4 (12/28/11 donation by Matthew Guillory); 9-2 (12/28/11 donation by Itzel Durazo); 10-2 (12/28/11 donation by Philippos Mikelatos); 11-2 (12/27/11 donation by Wolter); 12-1 (12/18/11 donation by Brian Duarte); 12-5 (12/28/11 donation by Ruth Long); 12-9 (12/28/11 donation by Monique Navarette); 14-2 (1/2/12 donation by Michael Pedace); 17-23 (12/22/11 donation by Marc Chase); 17-24 (12/22/11 donation by Ruth Chase); 17-25 (12/29/11 donation by Bernie Chase); 45-2 (12/27/11 donation by Betty Hart); 46-1 (12/28/11 donation by Brent Marchioni); 46-5 (1/11/12 donation by Brandon Marchioni); and GEX 20-12 (collecting certified copies of straw donor checks to the Dumanis campaign). Tellingly, everyone in Azano's orbit donated to the Dumanis campaign, except Azano himself. Each straw donor was then illegally reimbursed using Azano's money. In finding Azano guilty for his involvement in each of these straw donations, the jury necessarily rejected the manufactured testimony of Azano's defense witness, Elizabeth Lugo, and her fanciful story about a traveling box of money and pre-printed envelopes.

Azano directed Singh to oversee an online blitzkrieg for Dumanis. Singh (through his software development company, eSolutions) ultimately billed Azano's Mexican company Broadlink approximately $75,000 for his secret, in-kind internet consulting services. GEX 50-1 (invoice for project "code name Betty Boob" aka Bonnie Dumanis); GEX 50-2 (email reciting "betty boo project for 100k[.] [I]t was originally 75 but Mr Singh explained the need for the additional 25 during his last visit to San Diego and Mr A verbally agreed."); GEX 50-4 (Azano responding, "No more money, that wasn't the agmt with Ravi[.] [W]e will only transfer what I told him."). GEX 13-67 (wire transfer).

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Contemporaneously, Azano used Airsam to make a straw donation of $100,000 to a Dumanis PAC, using money directly traceable to Azano's personal account. GEX 21-13. The uncontroverted evidence at trial was that in addition to his consulting fees of $75,000, Azano also gave Singh $100,000 to set up an independent expenditure committee (PAC), which he never did, instead pocketing Azano's money. GEX 48-2 ("[Azano] was upset about the money he sent you to form a PAC and do the social media. He said since no PAC was formed he wants that money back."); GEX 56-32j ("Last time he defrauded us."). Cognizant of the illegality of these transactions, Singh refused to discuss this issue over email, owing to the "legal ramifications" of such a discussion. GEX 48-2.

When Dumanis was defeated in the primary, Azano switched his allegiance to Bob Filner, again coordinating straw donations and bringing Singh back to finish the job. At trial, the United States introduced evidence that in September 2012, Azano personally asked Chase to make additional illegal straw political contributions at a conversation around Azano's kitchen table. As Chase recounted, Azano "asked me to make a contribution. I said how much. He said $180,000. I asked will I be reimbursed, and he said yes." RT 8/11/16 [401] at 54:2-5. The jury received corroborating evidence of a $120,000 check from South Beach Acquisitions to "San Diegans in Support of Bob Filner for Mayor, 2012," GEX 35-12 at 5, GEX 35-7; a $30,000 in a check from West Coast Acquisitions to the San Diego County Democratic Party, GEX 17-31, and another $30,000 to the DCCC. Chase testified that he owned the companies that contributed, RT 8/11/16 [401] at 4:19-5:3, and that Azano repaid each contribution. Corroborating Chase's account, the jury received Azano's reimbursement check and Chase's internal accounting therefor.

Even as Chase made those straw donations, at Azano's direction, Singh supplemented the support for Filner with his own illegal in-kind consulting services. In mid-October 2012, Singh moved his team into the "war room" in Filner's campaign offices to handle the social media work. Encinas and Cortes, at Azano's command, explained the arrangement to Filner's campaign manager. When the campaign manager asked and re-asked how much it would cost, Singh replied that it was "taken care of." As covered in

painstaking detail at trial, through testimony, emails, invoices, and bank records, Singh, with help from Aaron Ronsheim, Meghan Standefer, Miguel de la Vega, and others at Election Mall, drew up the "game plan" for project Plastic Man, GEX 26-16, discussed it among themselves at length, purchased various Internet blasts, missiles and other armaments, invoiced Azano for their services, and received payments of $97,000 and $95,000, respectively, again laundered from Azano's Mexico-based Broadlink company through eSolutions, Singh's software development company. GEX 32-4, 32-13P, 32-5. Singh later boasted that his efforts helped achieve a "decisive victory" for Filner.

Tying together these illegal contortions, the jury repeatedly heard about Azano's overarching goals to elect a mayor to "help get the things he needed to get done," foremost among them, to develop San Diego in his image, as Miami West. RT 8/2/2016 (testimony of Jason Wolter) at 38:22-25; see also RT 8/2/2016 (Testimony of Brian Duarte) at 29:16-24 ("Wolter told me that if Bonnie Dumanis was to be elected that she would help pave the way for Azano to build a high-end resort in and around downtown San Diego somewhere along the waterfront or so and that she would help cut the red tape and push through permits and the correct zoning area, and I'm sure there's coastal commission issues with buildings downtown that have to be put through the city. So from what Wolter told me, she told Azano she would help expedite that process."); RT 7/29/16 (Testimony of Diego Duque) at 187:18-188:7 (testifying that Azano's son had promised to reimburse straw donors to Dumanis campaign, which would support a family project). As one witness summarized, "Azano was interested in having a friend in the mayor's office." RT 8/11/16 at 45:23-24. Jason Kiszonak, Anthony Bufinsky, Samantha Bowman-Fleurov and others testified consistently about Azano's vision for "Miami West" and the various steps Azano took to make Miami West a reality, including meeting with Dumanis and Filner, respectively, to introduce them to his vision and secure their support, reviewing the previous waterfront development plans, and engaging the services of a master planner.

This testimony aligned with the contemporaneous records, like a visitor's log reflecting candidate Filner's first visit to Azano's home in August 2012 and his December

2012 meeting with Kiszonak, Bufinsky, and Azano's team to discuss the "Miami West" project. *See, e.g.*, GEX 17-26 (logs showing "Marco" and Ernie arriving at Azano's home on Aug. 17, 2012 for meeting with Filner); GEX 51-6 (email dated Aug. 22, 2012 from Cortes to Azano, attaching the Chula Vista's Bayfront development master plan); GEX 56-44 (reflecting Filner's visit to Azano's home on Dec. 7, 2012); *see also* GEX 24-1 (email reporting that Dumanis received "a call, a conference call, from Ernie Encinas, Susumo Azano and Ravi Singh" to discuss Azano's support of her campaign).

After laundering nearly $600,000 in illegal foreign national contributions into the San Diego Mayor's election, he succeeded. Azano pulled it off. Filner won. Striking while the iron was hot, just four days after inauguration, Azano summoned Mayor Filner to his home to call in his favor. Kiszonak, Bufinsky, Encinas, and Cortes attended, as Azano pressed his agenda for Miami West. The rest, however, will never be written. Soon thereafter, Filner became embroiled in scandal and within six months resigned in disgrace.

SENTENCING GUIDELINES CONSIDERATIONS

A. The United States Probation Office correctly enhanced Azano's offense level by four levels for his threats of pecuniary harm under U.S.S.G. § 2C1.8(b)(5).

As a general rule, the party seeking to adjust an offense level must establish by a preponderance of the evidence that the adjustment is merited. See *United States v. Gonzalez*, 492 F.3d 1031, 1039 (9th Cir. 2007); *United States v. Charlesworth*, 217 F.3d 1155, 1158 (9th Cir. 2000). In the instant case, the Probation Office concluded that Azano's sentence should be enhanced pursuant to U.S.S.G. § 2C1.8(b)(5) because Azano convinced, *inter alia*, Jason Wolter, to assist in his criminal activity through intimidation and the threat of pecuniary harm. PSR 19. This conclusion is supported abundantly by the trial evidence and further bolstered by a post-trial declaration filed by Mr. Wolter. *See* Wolter Declaration ["Wolter Decl."] (Exh. 2). Such a finding by the Court would be reviewed for clear error. *United States v. Scrivener*, 189 F.3d 944, 949 (9th Cir. 1999)

As established at trial, Wolter is a San Diego native who graduated from SDSU. Following graduation, he obtained a real estate license and began working a number of

jobs to make ends meet. One of his jobs was as a sales associate at Hermès, a high-end boutique that sells handbags and other luxury items. The Azanos were the top customers at Hermès, and Wolter would engage both Azano and Edward (Susu) Hester in business chatter during their shopping outings that frequently involved the purchase of items worth tens of thousands of dollars. In December 2010, Wolter received a phone call from Azano's assistant, Elizabeth Lugo, summoning him to the Azano household. Wolter informed Lugo that he would be unable to go to their residence in Coronado until later in the day, after his shift at Hermès ended. Shortly thereafter, Wolter received a call from Susu, who inquired whether he wanted to be a "loser" for the rest of his life or a millionaire. Susu indicated if it was the latter, he should immediately meet with Azano in Coronado.

Wolter did. At this meeting, Azano proposed that Wolter work with him identifying real estate investment opportunities. Azano agreed to pay Wolter a base salary of $7,000 per month and a 5% commission on all properties that he purchased for Azano. Based upon the prospect of working on major real estate projects, Wolter quit his other jobs and began working full-time out of Azano's Coronado residence. Wolter Decl. at 1.

In February 2011, Wolter completed his first acquisition for Azano, an approximately $3 million condominium unit located in the Trump Hollywood Towers – a 41-story, luxury oceanfront glass tower featuring 240 feet of pristine beachfront property and spectacular views of the ocean, intra-coastal waterway, and city. Wolter split the $140,000 commission with his business partner and friend, Brian Duarte, who became the real estate broker on Azano's subsequent purchases.

As a result of his salary and commissions, Wolter moved into an upscale condominium and enjoyed the benefits of his improved economic fortune. At this time, Azano began assigning Wolter collateral duties. In addition to investigating real estate, Azano expected Wolter to "look after" Susu – especially when Azano was out of town. Eventually, Azano expected Wolter to act as his personal assistant and a general family "servant" – who would do whatever needed doing, including diverse activities such as shopping at the 7-11 to pick up bottled water or frequenting nightclubs where Susu would

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spend tens of thousands of dollars. Eventually, Wolter was treated as the Azano's houseman who was to be present almost 24-7 at Azano's beck and call. Wolter Decl. at 1.

It is against this backdrop that Azano convinced Wolter not only to make an illegal $500 conduit campaign contribution to Bonnie Dumanis, but to work with Susu to recruit others to do so. At this time, Wolter had never made a political contribution and would not have donated in a San Diego mayoral primary or requested that his friends do so. Yet, it was clear to Wolter that this was not an optional request. He (and Susu) were expected to not only donate, but to recruit others to donate. If he refused this request, Wolter believed Azano would have gone into a tirade (as he did frequently) and Wolter would have been looking for a new job. Stated simply, the only reason that Wolter became engaged in Azano's illegal conduit contribution scheme was because of Azano's threat of severe and immediate pecuniary harm. End of story. Wolter Decl. at 1-2.

The economic coercion Azano employed when recruiting Wolter to his illegal scheme is further highlighted by an examination of the status of the other conspirators. Indeed, it is not a coincidence that every person recruited to make illegal campaign donations was one of Azano's business associates. To an individual, these persons (with the exception of Ernie Encinas) had no interest in making the campaign donations. Azano's handpicked conspirators had never previously donated to any politician and, more importantly, would not have made the donation but for their dependence on Azano's economic patronage. Significantly, these individuals had nothing to gain from the illegal act – other than the fact that Azano would continue to employ or do business with them.

For example, Brian Duarte's (while not an economic captive in the same sense as Wolter) real estate brokerage business was heavily dependent on Azano's largesse. Azano was Duarte's single largest and most important client. At the time Duarte was asked to make these contributions on Azano's behalf, it was extremely important to Duarte's economic well-being that he not upset the Azano applecart. Duarte realized that hundreds of thousands of dollars in commissions were at stake.

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As with Wolter, "but for" Azano's business leverage, Duarte would never have agreed to make the illegal campaign contributions. Similar to Wolter, Duarte had no independent reason to make this donation. He gained nothing from it, other, of course, than the ability to continue handling Azano's business. On the other hand, the threat of losing his largest and most lucrative client caused Duarte to disregard his better judgment and serve as a "straw donor" for Azano.

Marc Chase found himself in a similar situation. Chase, the proprietor of La Jolla-based Symbolic Motors, sold extremely high-end luxury cars to a well-heeled clientele. Despite a long history of selling such vehicles (and other high end luxury items), Chase experienced severe financial difficulty in the 2009-10 timeframe. Fortunately, by 2011, his business started to improve. One of the reason for this improvement was Azano, who spent millions of dollars at Symbolic and soon became Chase's best client.

At this time, Chase and Azano also became "fast" friends – seeing each other often. Yet, this was an asymmetric friendship. Without question, they attended social events together, including nightclubs, Las Vegas gambling sprees, expensive dinners and high-end car shows like the Pebble Beach Concours d'Elegance. Azano even brought Chase on business trips to Mexico City, London and Paris. Despite this, Azano also made it clear where Chase stood: Azano was the "emperor," and Chase was just another loyal follower, who was expected to be at Azano's beck and call.

Chase accepted this arrangement due to Azano's financial largesse. Chase admits that Azano practically saved Symbolic by buying more than $10 million in new cars in the course of a couple of years. In fact, Azano was not just a customer, but a financier. In 2012, Azano lent $3 million to Symbolic at a 10% annual interest rate. This loan not only underscores the power imbalance between Chase and Azano, it exemplifies Azano's pattern of using his financial leverage to disguise and hide shady financial transactions. As Chase testified at trial, Azano never accepted interest payments on this $3 million loan. Rather, Azano directed Chase to use the interest owed to pay not only vehicle expenses, but also to pay a slew of his personal and business expenses.

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It is with this background that in late 2011, Chase found himself summoned to Azano's home and instructed to help Azano make $10,000 in illegal campaign donations to Bonnie Dumanis's mayoral campaign. Azano told Chase he would give him the money and that Chase just needed to find as many donors as possible. A few moments later, Elizabeth Lugo handed Chase $10,000 in cash. According to Chase, he never would have made these illegal contributions except for the relationship he had with Azano. Underlying the economic coercion that motivated his crime, except for the far distant past, Chase never donated to any political campaign except when encouraged to do so by Azano. In fact, as Chase testified, he never even voted until the 2012 presidential election.

In September 2012, Azano again summoned Chase to his home in Coronado. On this occasion, Azano told Chase that he would have to make $180,000 in contributions to some political candidates. Azano made it clear that Chase would again be reimbursed.

Once again, Chase made the contributions only because of his economic and personal relationship with Azano. Due to Azano's entanglement with his business interests, Chase felt he had no choice but to comply with Azano's demands.

Abel Garcia was yet another individual who was caught up in Azano's illegal schemes due to Azano's economic leverage. Garcia, a local accountant with an independent practice, was economically dependent upon Azano, his biggest client. Garcia was asked by Azano (through Lugo) to make a $1,000 illegal conduit contribution to the Dumanis campaign. In a similar refrain, "but for" Azano's business leverage, Garcia would never have agreed to make the illegal contribution. Similar to Wolter, Duarte and Chase, Garcia had no independent reason to make the donation. He gained nothing from it other than the ability to continue handling Azano's business. On the other hand, the threat of losing a lucrative client served as the motivation enough for Garcia to disregard his better judgment and agree to serve as a "straw donor" for Azano.

Given these facts, the Probation Office's conclusion that Azano used threats, implicit and explicit, and economic coercion to commit these campaign finance offenses is supported by overwhelming evidence. Azano used his money and power to commit this

crime. He has taken every advantage – both legal and illegal – as a result of these attributes; now is the time for him to face the consequences for their misuse. It is only appropriate that his guideline range be increased by four levels as directed by U.S.S.G. § 2C1.8(b)(5).

B. The United States Probation Office correctly enhanced Azano's offense level by four levels for his aggravating role under U.S.S.G. § 3B1.1(a).

The United States must prove by a preponderance of the evidence that Azano should receive an aggravating role adjustment. *United States v. Al-Rikabi*, 606 F.3d 11, 14 (1st Cir. 2010); *United States v. Cruz Camacho*, 137 F.3d 1220, 1224 (10th Cir. 1998). Without question, Azano was the leader of this criminal activity that involved five or more participants and was otherwise extensive, and therefore his Guideline range should be enhanced by four levels pursuant to U.S.S.G. § 3B1.1(a). For purposes of §3B1.1(a), the terms "organizer" and "leader" are "broadly interpreted." *United States v. Guerra*, 113 F.3d 809, 820 (8th Cir. 1997). In considering whether a defendant was a "leader" or "organizer," courts consider "the exercise of decision making authority, the nature of participation in the commission of the offense, the recruitment of accomplices, the claimed right to a larger share of the fruits of the crime, the degree of participation in planning or organizing the offense, the nature and scope of the illegal activity, and the degree of control and authority exercised over others." *United States v. Lopez*, 328 Fed. Appx. 352, 355 (8th Cir. 2009) (quoting U.S.S.G. § 3B1.1 comment. (n.4)).

To count participants, Application Note 1 to §3B1.1 defines a "participant" as "a person who is criminally responsible for the commission of the offense." Section 3B1.1 does not require that a "participant" be convicted, though the defendant, himself, as a criminally responsible person, is a participant under §3B1.1. *United States v. Paccione*, 202 F.3d 622, 625 (2d Cir. 2000) (holding, consistent with "the apparent consensus among our sister circuits," that "a defendant may be included when determining whether there were five or more participants in the criminal activity in question").

When determining whether there are "five or more participants," the Court must consider all participants, not only those who were subordinate to the defendant. "The text

of the guideline and its commentary does not require that five … participants be subordinate to the defendant; it merely requires that the activity involve five or more participants." *United States v. Bingham*, 81 F.3d 617, 629 (6th Cir. 1996); see also *United States v. Dota*, 33 F.3d 1179, 1189 (9th Cir. 1994) ("Section 3B1.1 does not require that [defendant] knew of or exercised control over all of the participants.").

The independent concept that criminal activity "was otherwise extensive" encompasses more than merely the number of participants because, as Application Note 3 to §3B1.1 provides, "in assessing whether an organization is 'otherwise extensive,' all persons involved during the course of the entire offense are to be considered." To assess such activity, most circuits deploy some version of a "totality of the circumstances" test. Under that test, the court may look to all of the circumstances of the criminal activity, "'including . . . the width, breadth, scope, complexity, and duration of the scheme.'" *United States v. Laboy*, 351 F.3d 578, 586 (1st Cir. 2003). Though each circuit uses a slightly different variation, each test is calculated to determine whether an otherwise extensive activity is the "functional equivalent" of an activity involving five or more participants." *United States v. Carrozzella*, 105 F.3d 796 (2d Cir. 1997). *Accord*, *United States v. Anthony*, 280 F.3d 694 (6th Cir. 2002); *United States v. Wilson*, 240 F.3d 39 (D.C. Cir. 2001); *United States v. Helbling*, 209 F.3d 226 (3d Cir. 2000).

Here, the criminal activity involved five or more participants. Azano, Singh, Encinas, Clancy, Marc Chase, and Edward Hester participated in the criminal conspiracy conduct embodied in Count I. Five of these individuals pled guilty or were convicted by a jury of criminal offenses. Cortes also participated, as did Jason Wolter and dozens of straw donors, each of whom settled their liability with the San Diego Ethics Commission.

Undoubtedly, this criminal activity was also "otherwise extensive." All told, the number of active individuals in the criminal conduct totaled at least forty. The conduct was extensive, totaling nearly $600,000 in illegal campaign donations, and sophisticated, deploying increasingly complex campaign money laundering techniques, and durable, spanning multiple candidates over a prolonged period.

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Of this criminal activity that involved five or more participants and was otherwise extensive, Azano was the unquestioned leader. It was Azano's money funding the illegal campaign contributions. It was Azano's mansion where the meetings occurred. Azano catered Nobu to host Bonnie Dumanis and Bob Filner. It was Azano who orchestrated the Christmas Day meeting in 2011 and Azano who directed Edward Hester, Jason Wolter, and Marc Chase to solicit straw donors on his behalf. Azano alone recruited the consulting services of Campaign Guru Ravi Singh. Azano led and organized this effort because to him went the spoils of any success. Miami West was his vision, and Azano alone was the architect of making that vision become reality. Azano was the ultimate decision maker and nothing happened, and no one acted without his approval. As in all things, he exercised completed control and authority over others. It was his way or the highway.

Each of the factors in Application Note 4 leads to the same conclusion: Azano was the leader of this criminal activity, and accordingly, Azano's guideline range is appropriately increased by four levels for his aggravating role and increased culpability.

CRIMINAL FINE

The Court shall impose a fine in all cases, except if the defendant establishes that he is unable to pay and not likely to become able to pay. U.S.S.G. § 5E1.2(a). In this case, given defendant's substantial net worth, a fine is mandated. The United States concurs in the Probation Office's recommendation of a fine in the amount of $560,955.00

RECOMMENDATION

Imposing a sentence of 72-months' incarceration and a substantial fine would be sufficient but not greater than necessary to preserve the integrity of our electoral system. Any lesser sentence undermines what many have sacrificed too much to build.

The nature and circumstances of these offenses are aggravated. As explained above, the crimes struck at the core of American democracy and the principles of self-governance. The United States is unaware of a comparable election fraud case, where sophisticated conspirators acted over time to install a friendly politician. The amount of illegal foreign money laundered into the election was substantial. The means employed to do so were

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varied and sophisticated and calculated to conceal the true nature and source of the illegal donations; always, though, it was Azano's money. The conspiracy involved dozens of participants, witting and unwitting, from the unquestioned leaders, Azano, to managers, to straw donors, to consultants and political operatives, to master planners, to financial advisers, to social media professionals, among others, all drawn together to steal an election in an effort to ensure Azano's vision of Miami West had a shot at reality. Along the way, the conspirators decimated the modern campaign finance system, implemented to ensure fair elections for Americans, free from corrupt foreign influence. Only the recommended sentence can appropriately redress the nature and circumstances of this offense and begin to restore the public's confidence in fair and transparent elections.

Azano's personal history and characteristics aggravate his crimes. At the time of his offenses, Azano had been an apparently successful businessman, though the exact contours of his business acumen remain vague. He certainly had a lot of money. *But see United States v. Miell*, 744 F. Supp. 2d 904, 955 (N.D. Iowa 2010) ("A crime of fraud by one who already has more than enough -- and who cannot argue that he suffered a deprived or abusive childhood or the compulsion of an expensive addiction -- is simply a crime of greed. A crime of fraud by one who is otherwise successful, apparently by legitimate means, is … particularly disturbing."), aff'd, 661 F.3d 995 (8th Cir. 2011).

As the trial amply demonstrated, Azano fundamentally believed the rules – the traffic laws, the campaign finance laws, the gun possession laws, and whatever else stood in his way – did not apply to him by virtue of his wealth and station. Freed from the constraint of following the rules, as every one of his associates and employees testified, Azano was an uncompromising capricious tyrant. It was his way or the highway, enforced by the power bestowed by the money he paid in salary or promised as part of the next deal. He demonstrated a total lack of respect for others. Jason Kiszonak, Anthony Bufinsky, Brian Duarte, and others testified uniformly as to Azano's history and characteristics in this regard in his business dealings. They, as well as Jason Wolter and others shed light on his tyrannical relationship with his family, household staff, and employees.

That Azano was subsequently convicted of the illegal possession of a 9mm semi-automatic handgun with a laser scope reinforces the conclusion that his history and characteristics taken together do nothing to mitigate his culpability.

Azano will undoubtedly seek a variance based on his fall from the heights of social status and financial privilege, the downsizing of his business, the collateral consequences of his imprisonment, and a host of other such outcomes. Congress, through the Guidelines, however, has pointedly addressed and rejected factors both individually and cumulatively in the form of "I've been punished enough" from privileged white collar criminals who bemoan the collateral consequences of a Guideline sentence, while implicitly dooming the less privileged and less fortunate to suffer greater punishments. 28 U.S.C. § 994(d) ("The Commission shall assure that the guidelines and policy statements are entirely neutral as to . . . socioeconomic status of offenders."); U.S.S.G. § 5H1.2 (vocational skills and education not ordinarily relevant); U.S.S.G. § 5H1.5 (employment record not ordinarily relevant); U.S.S.G. § 5H1.6 (family ties and responsibilities not ordinarily relevant); U.S.S.G. §5H1.10 (socioeconomic status of defendant not relevant).

The federal courts have repeatedly agreed. *United States v. Morgan*, 635 Fed. Appx. 423 (10th Cir. 2015) (reversing defendant's probationary sentence for bribery and agreeing "with the reasoning of the Sixth, Seventh, and Eleventh Circuits [that b]y considering publicity, loss of law license, and deterioration of physical and financial health as punishment, the court impermissibly focused on the collateral consequences [and favored criminals] with privileged backgrounds"); *United States v. Musgrave*, 761 F.3d 602, 608–09 (6th Cir. 2014) ("Impermissible considerations permeated the district court's justification for Musgrave's sentence. In imposing a sentence of one day with credit for the day of processing, the district court relied heavily on the fact that Musgrave had already 'been punished extraordinarily' by four years of legal proceedings, legal fees, the likely loss of his CPA license, and felony convictions that would follow him for the rest of his life."); *United States v. Kuhlman*, 711 F.3d 1321, 1329 (11th Cir. 2013) (vacating sentence of white collar criminal, stating, "The Sentencing Guidelines authorize no special

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sentencing discounts on account of economic or social status . . . unavailable to defendants of lesser means"); *United States v. Peppel*, 707 F.3d 627, 636 (6th Cir. 2013) (holding district court inappropriately considered collateral consequences for white collar defendant, noting longstanding precedent that to do so "would tend to support shorter sentences in cases with defendants from privileged backgrounds, who might have more to lose along these lines"); *United States v. Prosperi*, 686 F.3d 32, 47 (1st Cir. 2012) ("[I]t is impermissible for a court to impose a lighter sentence on white-collar defendants than on blue-collar defendants because it reasons that white collar offenders suffer greater reputational harm or have more to lose by conviction.").

Indeed, regularly this Court sees drug couriers with no money, no education, and limited opportunity, bringing drugs once across the border. In this district, those couriers most often face a guideline range of 108-135 months. Under the best circumstances, with a guilty plea, fast-track disposition, and full disclosure during a safety-valve debrief, these couriers qualify for "minor role" and merit a guideline range of 46-57 months. Sometimes courts in this district will vary downward from that range, but often they won't.

To be sure, election crimes and drug crimes are different. But what is comparable is the duration, breadth, and (perceived) necessity underlying the criminal conduct. Azano was not desperate, he was not in dire straits. Azano is wealthy, educated, with nearly unlimited legitimate business opportunity. But he chose crime. Not because he needed the money to feed a newborn child or because he lost his job, but because of greed and ego. Unlike the usual drug courier, Azano did not engage in one-off criminal conduct. He masterminded a multifaceted election-fraud conspiracy that involved numerous people and continued for months and months, as part of which, the conspirators concealed and disguised the nature, location, source, ownership, and control of the criminal proceeds in order to evade reporting requirements and obstruct federal investigators. *Compare*, *United States v. Contreras-Amezquita*, 15CR1144, (S.D.C.A., Oct. 12, 2017). Instead of being the subject of economic coercion, Azano used economic coercion to force and intimidate others into joining in his criminal activity, and unlike the routine drug courier, Azano did

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not plead guilty, accept responsibility or work to remedy his crimes. For his crimes, Azano's guideline range is 155-188 months, not 46-57 months. When comparing Azano to the criminal defendants that this court and other courts in this district sentence to multi-year terms of incarceration on a regular basis, fundamental fairness and the equal administration of justice demand a sentence of at least 72 months' imprisonment.

A 72-month sentence in this case will also serve as much needed general deterrence to others contemplating like crimes in any local, state or federal election, and consequently promote respect for America's laws and its electoral system. *See United States v. Morgan*, 635 F. App'x 423, 450 (10th Cir. 2015) (emphasizing "[d]eterrence is a crucial factor in sentencing decisions for economic and public corruption crimes"). General deterrence, of course, weighs the heaviest in favor of imposing a stringent sentence of imprisonment where, as here, the crimes of conviction each have an element of elevated intent. Conversely, a departure below the recommended sentence under these circumstances will further encourage foreign and domestic operatives to engage in corrupt campaign money laundering and election fraud schemes, after weighing the low risk of detection and the likelihood of a lenient sentence if they are caught. *Id.* at 450 ("General deterrence comes from a probability of conviction and significant consequences").

Consideration of deterrence in this way is required under 18 U.S.C. § 3553. So sound the warning loud and clear, particularly to the leaders of such schemes: "The United States will not turn a blind eye to those who seek to destroy its foundational institutions one illegal foreign dollar at a time. American elections are not for sale. If convicted of fouling America's elections with corrupt foreign influence, you will be justly punished."

The recommended sentence also avoids unwarranted sentencing disparities. As the Court's canvass of the previous cases made no doubt clear, no reported case approximates the aggravated nature and circumstances of these crimes, or Azano's role therein, and thus, the recommended sentence cannot effect an unwarranted disparity in punishment.[2] The

[2] Azano cannot claim parity with Singh or Marc Chase. Singh, though an important conspirator, played no role in the illegal straw donations aspect of this

closest election law analogs involve far fewer dollars, over a more limited time period. Most involve elections where the illegal contributions did not sway the outcome. Most involve illegal domestic contributions, not those by a foreign national. In almost all of those cases, the defendant pled guilty and accepted responsibility. Here, by contrast, the conduct was extensive, totaling nearly $600,000 in illegal foreign campaign donations, and sophisticated, deploying increasingly complex campaign money laundering techniques, and durable, spanning multiple candidates over a prolonged period. Azano, for his part, was the undisputed leader of the criminal activity. Here, as well, the crime succeeded -- with Azano's illegal aid, Filner won -- and from it, Azano potentially stood to gain millions if the Miami West development projects he envisioned matured to reality. These differences mandate a sentence more stringent than any previously reported. To impose otherwise would impermissibly cause, not avoid, unwarranted sentencing disparities

For these reasons, the recommended sentence of 72 month's incarceration is sufficient but not greater than necessary to effect the ends of justice. Only such a sentence resoundingly answers how much free and fair American elections matter.

IMMEDIATE REMAND

Azano should be immediately remanded into custody. Azano cannot establish that his appeal "raises a substantial question of law or fact likely to result in (i) reversal, (ii) an order for a new trial, (iii) a sentence that does not include a term of imprisonment, or (iv) a reduced sentence to a term of imprisonment less than the total of the time already served

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conspiracy, and ultimately, he was hired gun for Azano, doing as he was instructed. Beyond the payday for his services, Singh had nothing to gain for his involvement. The Court found, in addition, that Singh should not receive any enhancement for his role in the offense, and that the amount of the contributions (over $250,000) was overstated in attributing the entirety of that amount to Singh. Azano, by contrast, was the unquestioned leader of all the criminal conduct, who contributed every penny of the illegal campaign contributions. Azano, who choreographed each aspect of the scheme, to be sure, stood to gain everything when the scheme proved successful.

Chase is not similarly situated at all. He participated at Azano's direction. The testimony at trial was that Chase doesn't even vote. Chase accepted responsibility, pled guilty, cooperated with the investigation and testified at length at trial.

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plus the expected duration of the appeal process." 18 U.S.C. § 3143(b)(1)(B). "[P]roperly interpreted, 'substantial' defines the level of merit required in the question presented, and 'likely to result in reversal or an order for a new trial' defines the type of question that must be presented." *United States v. Handy*, 761 F.2d 1279, 1280 (9th Cir. 1985).[3]

On this issue, Azano bears the burden of proof. *United States v. Montoya*, 908 F.2d 450, 451 (9th Cir. 1990) (denying motion for bail pending appeal because defendant failed to show that his appeal would likely result in reversal). Just as this Court determined with respect to Ravneet Singh, Azano cannot demonstrate that his appeal will raise "a substantial question of law for fact likely to result in" reversal or an order for a new trial. Azano, like Singh, has heavily litigated almost aspect of this case. None of his arguments is novel. Nor has the Court struggled to resolve any of his various contentions.[4] Under these circumstances Azano should be immediately remanded into custody.

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[3] Prongs (iii) and (iv) can be dispensed with quickly. A term of probation would be unprecedented in this case. *See, e.g.*, *Morgan*, 635 Fed. Appx.at 439-450 (reversing defendant's probationary for bribery and agreeing "with the reasoning of the Sixth, Seventh, and Eleventh Circuits [that b]y considering publicity, loss of law license, and deterioration of physical and financial health as punishment, the court impermissibly focused on the collateral consequences [and favored criminals] with privileged backgrounds"). Prong (iv) does not apply because Azano has not yet served time and the expected duration of a Ninth Circuit appeal will not exceed Azano's sentence.

[4] As a general matter, a defendant should be detained <u>immediately</u> following a felony conviction unless the defendant establishes by clear and convincing evidence that he is not likely to flee or pose a danger to the community. 18 U.S.C. § 3143(b)(1)(A). As the evidence at trial made clear, Azano is a vastly wealthy Mexican national with family, property, and business interests throughout Mexico. Azano also has political connections in Mexico and has paid hundreds of thousands of dollars to elect Mexican politicians. Azano is, moreover, a member of the greater international community. He has traveled throughout the world, doing business in South America, the Middle East, and elsewhere. After Azano is sentenced to federal prison in the United States, given his ties to Mexico and throughout the international community, it is likely that he will simply enter Mexico and walk (or drive his latest roadster) beyond the reach of U.S. federal authorities. Given his vast resources, Azano's spouse or children can come a go between Mexico and the United States, visiting Azano as they please. Under these circumstances, Azano cannot establish by clear and convincing evidence that he will not flee.

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CONCLUSION

This Court should impose upon Jose Susumo Azano Matsura a below-Guidelines sentence, including a period of incarceration of 72 months, a $560,955.00 fine, a three-year period of supervised release, and a mandatory special assessment of $3,700.

DATED: October 20, 2017

Respectfully submitted,

BLAIR C. PEREZ
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Acting Under 28 U.S.C. § 515

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UNITED STATES DISTRICT COURT

SOUTHERN DISTRICT OF CALIFORNIA

UNITED STATES OF AMERICA, v. JOSE SUSUMO AZANO MATSURA, Defendant.	Case No. 14-CR-0388-001-MMA Certificate of Service

IT IS HEREBY CERTIFIED THAT:

I, Mark W. Pletcher, am a citizen of the United States and am at least eighteen years of age. My business address is 880 Front Street, Room 6293, San Diego, California 92101-8893. I am not a party to the above-entitled action.

I have caused service of this SENTENCING MEMORANDUM by electronically filing it with the U.S. District Court for the Southern District of California using its ECF System, which electronically notifies the parties.

I declare under penalty of perjury that the foregoing is true and correct.

Executed on October 20, 2017.

/s/ Mark W. Pletcher
Assistant U.S. Attorney

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UNITED STATES DISTRICT COURT

SOUTHERN DISTRICT OF CALIFORNIA

UNITED STATES OF AMERICA, Plaintiff, v. JOSE SUSUMO AZANO MATSURA (1), Defendant.	Crim. Case No.: 14CR0388-MMA **DECLARTION OF JASON WOLTER**

I, Jason Wolter, hereby declare and state:

1. In early 2011, I began working for Jose Susumo Azano Matsura. Mr. Azano agreed to pay me $7,000 per month, plus a 5% commission on all properties that I purchased on Mr. Azano's behalf.

2. Although I was originally hired to help identify real estate investment opportunities, Mr. Azano made it clear that I was also responsible for doing any other required task. These tasks included going to the convenience store to buy bottled water, jetting around the world on family vacations, and accompanying Susu to nightclubs. Eventually, my position evolved into being, essentially, a loyal servant.

3. As an employer, Mr. Azano was extremely demanding and became enraged when something that I did for him was not to his liking. At these and other times, Mr. Azano made it crystal clear that if I did not do something that was requested, I would have

to find another job. I understood that I had absolutely no choice but to do anything he asked, or I'd be fired.

4. When I was originally asked to assist him in soliciting donations for Bonnie Dumanis, I didn't give it much thought. It was just part of my job; another task I was expected to do for Mr. Azano. As with other such tasks, I recognized that I had no choice but to do obtain the donations if I wanted to keep my job. Saying "no" to Mr. Azano was not an option.

5. Eventually, all the strain of working for Mr. Azano became too stressful. I got fed up with Azano trying to control my behavior with money and treating me in a demeaning fashion. I resigned in early 2014.

DATED: October 24, 2016

_____
JASON WOLTER

SENTENCING SUMMARY CHART

USPO ____
AUSA X
DEF ____

Sentencing Date: October 27, 2017 at 2:00pm

Defendant's Name: JOSE SUSUMO AZANO MATSURA Docket No: 14CR0388-MMA
Attorney's Name: Mark W. Pletcher Phone No: 619-546-9714
Guideline Manual Used: November 1, 2016 Agree with USPO Calc: Yes

Base Offense Level: USSG § 2C1.8 (Illegal Campaign Financing)	8
Specific Offense Characteristics:	
Value > $550,000 [USSG § 2C1.8(b)(1) / § 2B1.1(b)(1)(H)]	+14
Foreign National [USSG § 2C1.8(b)(2)(A)]	+2
More than 30 Illegal Transactions [USSG § 2C1.8(b)(4)]	+2
Threat of Pecuniary Harm [USSG § 2C1.8(b)(5)]	+4
Victim Related Adjustment:	
Adjustment for Role in the Offense [USSG § 3B1.1(a)] :	+4
Adjustment for Abuse of Trust [USSG § 3B1.3]:	
Adjustment for Obstruction of Justice [USSG § 3C1.1]:	
Adjusted Offense Level:	34

(X Combined (Mult. Counts) ____ Career Off. ____ Armed Career Crim.)

Adjustment for Acceptance of Responsibility: ____

Total Offense Level:	**34**	
Criminal History Score:		0
Criminal History Category: ____ Career Offender ____ Armed Career Criminal		I
Guideline Range:	from 151	Months
(Range limited by: ____ mand. minimum ____ statutory maximum)	to 188	Months

Departures:

Adjusted Offense Level:	**34**	
Guideline Range:	from 151	months
	to 188	months

RECOMMENDATION:

Period of Incarceration: 72 months
Fine: $560,955.00
Penalty Assessment: $3700

UNITED STATES DISTRICT COURT

SOUTHERN DISTRICT OF CALIFORNIA

UNITED STATES OF AMERICA v. JOSE SUSUMO AZANO MATSURA, Defendant.	Case No. 14CR0388-MMA **CERTIFICATE OF SERVICE**

IT IS HEREBY CERTIFIED THAT:

I, the undersigned, declare under penalty of perjury that I have served the foregoing document on the above-captioned party(ies) by:

- ■ electronically filing it with the U.S. District Court for the Southern District of California using its ECF System, which electronically notifies the party(ies).
- □ causing the foregoing to be mailed by first class mail to the parties identified with the District Court Clerk on the ECF System.
- □ causing the foregoing to be mailed by first class mail to the following non-ECF participant at the last known address, at which place there is delivery service of mail from the United States Postal Service:

Executed on October 20, 2017.

s/ Mark W. Pletcher
MARK W. PLETCHER
Assistant U.S. Attorney

Case 3:14-cr-00388-MMA Document 876 Filed 11/03/17 PageID.2503 Page 1 of 5

AO 245B (CASDRev. 08/13) Judgment in a Criminal Case

FILED
NOV 03 2017
CLERK, U.S. DISTRICT COURT
SOUTHERN DISTRICT OF CALIFORNIA
BY DEPUTY

UNITED STATES DISTRICT COURT

SOUTHERN DISTRICT OF CALIFORNIA

UNITED STATES OF AMERICA
V.
JOSE SUSUMO AZANO MATSURA (1)

JUDGMENT IN A CRIMINAL CASE
(For Offenses Committed On or After November 1, 1987)

Case Number: 14CR0388 MMA

KNUT S. JOHNSON
Defendant's Attorney

REGISTRATION NO. 46576298

☐ -

THE DEFENDANT:

☐ pleaded guilty to count(s) _____

☒ was found guilty on count(s) 1, 3-37 AND 39 OF THE THIRD SUPERSEDING INDICTMENT
after a plea of not guilty.

Accordingly, the defendant is adjudged guilty of such count(s), which involve the following offense(s):

Title & Section	Nature of Offense	Count Number(s)
18 USC 371	Conspiracy to Commit Offenses Against the United States	1
2 USC 437g(d)(1)(A) and 441e(a)(1)(A)	Campaign Donation or Contribution by a Foreign National Aggregating At Least $25,000	3
2 USC 437g(d)(1)(A), 441f	Contribution in the Name of Another Aggregating at Least $25,000	4
18 USC 1519	Falsification of Records	5-37
18 USC 922(g)(5)(B)	Alien in Possession of a Firearm	39

The defendant is sentenced as provided in pages 2 through 5 of this judgment.

The sentence is imposed pursuant to the Sentencing Reform Act of 1984.

☐ The defendant has been found not guilty on count(s) _____

☐ Count(s) _____ is dismissed on the motion of the United States.

☒ Assessment : $100.00 AS TO EACH COUNT ($3,700.00 TOTAL)

☒ See fine page ☐ Forfeiture pursuant to order filed _____, included herein.

IT IS ORDERED that the defendant shall notify the United States Attorney for this district within 30 days of any change of name, residence, or mailing address until all fines, restitution, costs, and special assessments imposed by this judgment are fully paid. If ordered to pay restitution, the defendant shall notify the court and United States Attorney of any material change in the defendant's economic circumstances.

October 27, 2017
Date of Imposition of Sentence

HON. MICHAEL M. ANELLO
UNITED STATES DISTRICT JUDGE

DEFENDANT: JOSE SUSUMO AZANO MATSURA (1)
CASE NUMBER: 14CR0388 MMA

IMPRISONMENT

The defendant is hereby committed to the custody of the United States Bureau of Prisons to be imprisoned for a term of:
THIRTY-SIX (36) MONTHS AS TO EACH COUNT TO RUN CONCURRENTLY

☐ Sentence imposed pursuant to Title 8 USC Section 1326(b).

☒ The court makes the following recommendations to the Bureau of Prisons:
- PLACEMENT AT A FACILITY IN THE WESTERN REGION OF THE UNITED STATES.

☒ The defendant is remanded to the custody of the United States Marshal.

☐ The defendant shall surrender to the United States Marshal for this district:

☐ at _____ A.M. on _____

☐ as notified by the United States Marshal.

☐ The defendant shall surrender for service of sentence at the institution designated by the Bureau of Prisons:

☐ on or before

☐ as notified by the United States Marshal.

☐ as notified by the Probation or Pretrial Services Office.

RETURN

I have executed this judgment as follows:

Defendant delivered on _____ to _____

at _____, with a certified copy of this judgment.

_____
UNITED STATES MARSHAL

By _____
DEPUTY UNITED STATES MARSHAL

Case 3:14-cr-00388-MMA Document 882-4 Filed 11/12/19 PageID.18589 Page 3 of 5

SUPERVISED RELEASE

Upon release from imprisonment, the defendant shall be on supervised release for a term of:
THREE (3) YEARS AS TO EACH COUNT TO RUN CONCURRENTLY

The defendant shall report to the probation office in the district to which the defendant is released within 72 hours of release from the custody of the Bureau of Prisons unless removed from the United States.

The defendant shall not commit another federal, state or local crime.

For offenses committed on or after September 13, 1994:

The defendant shall not illegally possess a controlled substance. The defendant shall refrain from any unlawful use of a controlled substance. The defendant shall submit to one drug test within 15 days of release from imprisonment and at least two periodic drug tests thereafter as determined by the court. Testing requirements will not exceed submission of more than 4 drug tests per month during the term of supervision, unless otherwise ordered by court.

☐ The above drug testing condition is suspended, based on the court's determination that the defendant poses a low risk of future substance abuse. (*Check, if applicable.*)
☒ The defendant shall not possess a firearm, ammunition, destructive device, or any other dangerous weapon.
☒ The defendant shall cooperate in the collection of a DNA sample from the defendant, pursuant to section 3 of the DNA Analysis Backlog Elimination Act of 2000, pursuant to 18 USC section 3583(a)(7) and 3583(d).
☐ The defendant shall comply with the requirements of the Sex Offender Registration and Notification Act (42 U.S.C. § 16901, et seq.) as directed by the probation officer, the Bureau of Prisons, or any state sex offender registration agency in which he or she resides, works, is a student, or was convicted of a qualifying offense. (*Check if applicable.*)
☐ The defendant shall participate in an approved program for domestic violence. (*Check if applicable.*)

If this judgment imposes a fine or a restitution obligation, it shall be a condition of supervised release that the defendant pay any such fine or restitution that remains unpaid at the commencement of the term of supervised release in accordance with the Schedule of Payments set forth in this judgment.

The defendant shall comply with the standard conditions that have been adopted by this court. The defendant shall also comply with any special conditions imposed.

STANDARD CONDITIONS OF SUPERVISION

1) the defendant shall not leave the judicial district without the permission of the court or probation officer;
2) the defendant shall report to the probation officer in a manner and frequency directed by the court or probation officer;
3) the defendant shall answer truthfully all inquiries by the probation officer and follow the instructions of the probation officer;
4) the defendant shall support his or her dependents and meet other family responsibilities;
5) the defendant shall work regularly at a lawful occupation, unless excused by the probation officer for schooling, training, or other acceptable reasons;
6) the defendant shall notify the probation officer at least ten days prior to any change in residence or employment;
7) the defendant shall refrain from excessive use of alcohol and shall not purchase, possess, use, distribute, or administer any controlled substance or any paraphernalia related to any controlled substances, except as prescribed by a physician;
8) the defendant shall not frequent places where controlled substances are illegally sold, used, distributed, or administered;
9) the defendant shall not associate with any persons engaged in criminal activity and shall not associate with any person convicted of a felony, unless granted permission to do so by the probation officer;
10) the defendant shall permit a probation officer to visit him or her at any time at home or elsewhere and shall permit confiscation of any contraband observed in plain view of the probation officer;
11) the defendant shall notify the probation officer within seventy-two hours of being arrested or questioned by a law enforcement officer;
12) the defendant shall not enter into any agreement to act as an informer or a special agent of a law enforcement agency without the permission of the court; and
13) as directed by the probation officer, the defendant shall notify third parties of risks that may be occasioned by the defendant's criminal record or personal history or characteristics and shall permit the probation officer to make such notifications and to confirm the defendant's compliance with such notification requirement.

SPECIAL CONDITIONS OF SUPERVISION

1. If deported, excluded or allowed to voluntarily return to country of origin, not reenter the United States illegally and report to the probation officer within 24 hours of any reentry into the United States; supervision waived upon deportation, exclusion, or voluntary departure.

2. Not enter or reside in the Republic of Mexico without permission of the court or probation officer.

3. Report all vehicles owned or operated, or in which you have an interest, to the probation officer.

4. Submit your person, property, residence, office or vehicle to a search, conducted by a United States Probation Officer at a reasonable time and in a reasonable manner, based upon reasonable suspicion of contraband or evidence of a violation of a condition of release; failure to submit to a search may be grounds for revocation; the defendant shall warn any other residents that the premises may be subject to searches pursuant to this condition.

5. Provide complete disclosure of personal and business financial records to the probation officer as requested.

6. Be prohibited from opening checking accounts or incurring new credit charges or opening additional lines of credit without approval of the probation officer.

//

DEFENDANT: JOSE SUSUMO AZANO MATSURA (1) Judgment - Page **5** of **5**
CASE NUMBER: 14CR0388 MMA

FINE

The defendant shall pay a fine in the amount of $250,000.00 as to count 1, $250,000.00 as to count 3 and $60,955.00 as to count 4 for a total of $560,955.00 unto the United States of America through the Clerk, U. S. District Court. Payment of the fine shall be forthwith. During any period of incarceration, the defendant shall pay fine through the Inmate Financial Responsibility Program at the rate of 50% of the defendant's income, or $25.00 per quarter, whichever is greater. The defendant shall pay the fine during his supervised release at the rate of $10,000 per month.

FOR PUBLICATION

UNITED STATES COURT OF APPEALS
FOR THE NINTH CIRCUIT

UNITED STATES OF AMERICA, *Plaintiff-Appellee*, v. RAVNEET SINGH, AKA Ravi Singh, *Defendant-Appellant.*	No. 17-50337 D.C. No. 3:14-cr-00388-MMA-2
UNITED STATES OF AMERICA, *Plaintiff-Appellee*, v. JOSE SUSUMO AZANO MATSURA, AKA Mr. A, AKA Mr. Lambo, *Defendant-Appellant.*	No. 17-50387 D.C. No. 3:14-cr-00388-MMA-1 OPINION

Appeal from the United States District Court
for the Southern District of California
Michael M. Anello, District Judge, Presiding

Argued and Submitted March 13, 2019
San Francisco, California

Filed May 16, 2019

Before: MILAN D. SMITH, JR., PAUL J. WATFORD, and ANDREW D. HURWITZ, Circuit Judges.

Opinion by Judge Milan D. Smith, Jr.

SUMMARY*

Criminal Law

The panel reversed Jose Susumo Azano Mastura's and Ravneet Singh's convictions on count 37 for falsification of campaign records, affirmed all other convictions, vacated the sentences, and remanded for resentencing, in a case in which Azano, a foreign national, and his co-conspirators sought to influence local politicians during the 2012 San Diego election cycle by providing campaign contributions.

Rejecting appellants' contention that Congress lacks the power to prohibit foreign nationals from donating and contributing to state and local elections, the panel held that Congress acted within its constitutional authority in enacting 52 U.S.C. § 30121(a). Bound by the Supreme Court's summary affirmance in *Bluman v. FEC*, 800 F. Supp. 2d 281 (D.D.C. 2011), *aff'd*, 565 U.S. 1104 (2012), the panel rejected appellants' contention that § 30121(a) violates foreign nationals' First Amendment rights.

The panel rejected appellants' contention that 52 U.S.C. § 30109(d), the penalty provision applicable to violations of § 30121, requires that the government prove that a defendant

* This summary constitutes no part of the opinion of the court. It has been prepared by court staff for the convenience of the reader.

harbors the specific intent to evade § 30121, not merely the intent to commit unlawful conduct. As to the jury instruction on the charge that Singh aided and abetted Azano's unlawful donations, the panel rejected Singh's argument that the district court's failure to include the element that Singh knew Azano lacked immigration status constitutes reversible error. The panel held that the instructions as a whole adequately covered the element of Singh's knowledge of Azano's immigration status.

Appellants contested their convictions under counts 5 through 37, arguing there was insufficient evidence to satisfy the material elements of 18 U.S.C. § 1519 (falsifying campaign records).

- Singh argued that § 1519 requires an affirmative act, and that a mere omission, without an affirmative duty, cannot satisfy the actus reus element. The panel held that an omission satisfies the actus reus element for § 1519. The panel observed that Singh was not simply convicted under § 1519, but under 18 U.S.C. § 2(b) (willfully causing an act to be done which if directly performed by him or another would be an offense against the United States) in conjunction with § 1519, in which scenario the actus reus element merges with the mens rea element to focus liability on the person harboring the criminal intent. The panel wrote that the government thus did not need to prove that Singh prepared the campaign disclosure forms or had a duty to report Azano's patronage; rather, that the campaign had a duty to report the information was enough, and § 2(b) authorized holding accountable those with the intent to conceal or falsify records.

- Regarding causation under § 2(b), the panel held that the government presented sufficient evidence for a jury to find that Singh willfully caused the Bonnie Dumanis primary mayoral election campaign to file falsified reports, and therefore affirmed appellants' convictions under count 32. The panel found insufficient evidence that Singh willfully caused the Bob Filner general mayoral election campaign to file falsified reports, and therefore reversed the convictions under count 37.

- Regarding the § 1519 element of an investigation by the United States of a matter within its jurisdiction, the panel held that a jury could reasonably infer that Singh contemplated an investigation due to unlawful activity and intended to direct that investigation away from himself. Singh argued that any investigation of his conduct is not within the jurisdiction of the United States because his conduct involved a local campaign and the falsified campaign disclosure forms violated only state and local law. The panel rejected this contention because the campaign disclosure forms were sought in connection with the FBI's investigation of a federal crime.

- As to counts 5 through 31 and 33 through 36, the panel concluded that a reasonable jury could find beyond a reasonable doubt that Azano concealed his identity from these campaigns by recruiting straw donors, and that he willfully caused both campaigns to file false reports with the intent of obstructing a potential investigation.

Rejecting Singh's challenges to his conspiracy conviction, the panel held that the jury instructions adequately covered Singh's multiple conspiracy theory, and

that there was sufficient evidence to show a single conspiracy.

The panel affirmed Azano's conviction under 18 U.S.C. § 922(g)(5)(B) for unlawfully possessing a firearm as a nonimmigrant visa holder. Applying intermediate scrutiny to Azano's Second Amendment challenge, and assuming without deciding that the Second Amendment extends to nonimmigrant visa holders, the panel held that § 922(g)(5)(B)'s prohibition on firearm possession and ownership by nonimmigrant visa holders serves an important public interest in crime control and public safety, without substantially burdening a nonimmigrant visa holder's assumed Second Amendment right. The panel rejected Azano's contentions that his possession of a gun as a B2 visa holder fell within the "pleasure" designation in 22 C.F.R. § 41.31.(b)(2) or automatically qualified as a "sporting purpose" pursuant to 18 U.S.C. § 922(y)(2). The panel also rejected Azano's contention that § 922(g) is unconstitutionally vague as applied to B1/B2 visa holders.

The panel held that the district court did not abuse its discretion in denying Azano's motion for a new trial based on alleged ineffective assistance of his trial counsel, and declined to entertain his ineffective-assistance claim on direct appeal. The panel held that Singh waived his argument that the district court abused its discretion in denying his motion to sever his trial from all defendants except Azano. The panel held that the record does not support Singh's claim that the joint trial compromised his due process rights.

COUNSEL

Harold J. Krent (argued), IIT Chicago-Kent College of Law, Chicago, Illinois; Todd W. Burns, Burns & Cohan, San Diego, California; for Defendant-Appellant Ravneet Singh.

Charles M. Sevilla (argued), San Diego, California, for Defendant-Appellant Jose Susumo Azano Matsura.

Helen H. Hong (argued), Mark Pletcher, Billy Joe McLain, and Phillip L.B. Halpern, Assistant United States Attorneys; Robert S. Brewer Jr., United States Attorney; United States Attorney's Office, San Diego, California; for Plaintiff-Appellee.

Charles H. Bell Jr. and Terry J. Martin, Bell McAndrews & Hiltachk LLP, Sacramento, California, for Amici Curiae California Campaign and Election Law Attorneys.

OPINION

M. SMITH, Circuit Judge:

Jose Susumo Azano Matsura aspired to participate in developing San Diego and turning it into the Miami Beach of the west coast. To help achieve this goal, Azano and his co-conspirators sought to influence local politicians during the 2012 San Diego election cycle by providing campaign contributions. However, as a foreign national, Azano was prohibited by federal law from donating or contributing to American campaigns.

A jury convicted Azano and Ravneet Singh of various crimes stemming from the campaign contributions; Azano

was also convicted of violating federal firearms law. Azano and Singh (together, Appellants) now appeal, raising a litany of constitutional, statutory, and procedural arguments. Although we affirm the district court in large part, we reverse their convictions on count thirty-seven (obstruction of justice in violation of 18 U.S.C. § 1519).

FACTUAL AND PROCEDURAL BACKGROUND

I. Factual Background

Azano ran a successful technology business based in Mexico City, but maintained a family home in San Diego. Although Azano's wife and children are United States citizens, he is neither a naturalized United States citizen nor a permanent resident. Azano, a citizen of Mexico, entered the United States in January 2010 on a B1/B2 visa, which allows visitors entry for pleasure or business if the noncitizen "intends to leave the United States at the end of the temporary stay." 22 C.F.R. § 41.31(a)(1). Azano traveled weekly back and forth from San Diego to Mexico City for business purposes.

At trial, the government introduced evidence that Azano had an interest in developing San Diego, and particularly the Chula Vista waterfront area. The government introduced testimony that in order to achieve his development goals, Azano believed that he needed government cooperation, which included a relationship with the mayor of San Diego. Azano had previously formed such relationships in Mexico by making campaign contributions to candidates for various offices. Azano set about implementing a similar strategy in San Diego. With the aid of his co-conspirators, Azano sought to secure the favor of San Diego mayoral candidates who he believed would support his development plans. Azano first supported Bonnie Dumanis during the 2012

primary elections, but when she lost, he supported Bob Filner in the general election. Azano did so despite the fact that federal law prohibits "a foreign national, directly or indirectly," from making "a contribution or donation of money or other thing of value . . . in connection with a Federal, State, or local election." 52 U.S.C. § 30121(a).

Azano's funding scheme involved a number of people. Ernie Encinas, head of Azano's security team, was a former San Diego police officer with useful political connections who helped represent Azano's interests within the two campaign organizations. Marco Polo Cortes provided lobbying connections and helped facilitate initial meetings with the two campaign staffs. Mark Chase was a local car dealer and Azano's "good friend," who arranged straw donors to donate to the Dumanis mayoral campaign, and later disguised Azano's donations to Filner's political action committee (PAC) and other entities by writing checks from his personal and business accounts. Edward Susumo Azano Hester, Azano's son, recruited straw donors to give to the Dumanis campaign.

Singh was the CEO of ElectionMall, a media platform offering a "one-stop sho[p] of technology to candidates and political parties running for office." Singh first worked with Azano on a Mexican presidential campaign in 2011. This professional relationship continued into the mayoral campaigns of Dumanis and Filner. Aaron Rosheim, the former director of web strategy at ElectionMall, testified that Azano paid ElectionMall for work on the San Diego campaigns. For this work, Singh billed Azano's Mexican companies, using the code names "Betty Boop" for Dumanis's campaign and "Plastic Man" for Filner's campaign. Evidence also suggested that Singh tried to conceal any paper trail of his work for Azano. An internal

ElectionMall email from Singh with the subject title "OLD invoices for Mr. A" stated: "Please don't have cynthia or anyone else send things with a code name. And then list the clients name in a [sic] email. That is stupid and dangerous for me." Additionally, in response to an email from Encinas about forming a PAC for Dumanis, Singh stated, "I am not responding to this email. Bec[au]se of the legal ram[i]fications."

II. Procedural Background

A federal grand jury returned a Third Superseding Indictment (the Indictment) charging four individuals—Azano, Singh, Cortes, and Hester—and one corporate defendant, ElectionMall, with illegally conspiring to commit campaign finance fraud in the 2012 San Diego mayoral elections. The government later dropped ElectionMall as a defendant and the four individuals were tried together. After trial, Cortes and Hester reached plea agreements and pled guilty to participating in the campaign contribution scheme. Encinas and Chase, who had been charged as co-conspirators in a separate indictment, both also pled guilty to participating in the campaign contribution scheme.

Appellants were charged in count one of the Indictment with conspiracy to violate the Federal Election Campaign Act (FECA), 52 U.S.C. §§ 30109(d)(1)(A) and 30121(a)(1)(A),[1] for unlawful campaign donations by a foreign national, and conspiracy to falsify campaign records, in violation of 18 U.S.C. § 1519. Both were charged in count three with the substantive offense of making unlawful campaign donations as a foreign national. Singh was charged in counts thirty-two and thirty-seven with the

[1] Previously codified at 2 U.S.C. § 441e.

substantive offense of falsifying campaign records in violation of 18 U.S.C. § 1519. Azano was similarly charged in counts five through thirty-seven with the substantive offense of falsifying campaign records. Finally, Azano was charged in count four with making a conduit contribution in connection with a federal election, in violation of 52 U.S.C. §§ 30109(d)(1)(A) and 30122, and in count thirty-nine with unlawfully possessing a firearm as an alien in violation of 18 U.S.C. § 922(g)(5)(B).

A jury found Appellants guilty on all the counts with which they were respectively charged. On October 27, 2017, the district court sentenced Azano to three years in custody and three years of supervised release, and on August 31, 2017 sentenced Singh to fifteen months in custody and three years of supervised release. Appellants timely appealed.

ANALYSIS

Appellants raise a number of claims contesting their convictions. We address each in turn.

I

Appellants first argue that 52 U.S.C. § 30121 is unconstitutional on two grounds: (1) it exceeds Congress's jurisdiction to legislate concerning state and local elections, and (2) it violates foreign nationals' First Amendment speech rights. We review the constitutionality of a statute de novo. *United States v. Jones*, 231 F.3d 508, 513 (9th Cir. 2000).

We first consider the genesis of § 30121. As donations and contributions have grown more important to the campaign process, so too has concern over foreign influence in American elections. In 1966, Congress amended the

Foreign Agents Registration Act to prohibit foreign governments and entities from contributing to American political candidates. *See* Pub. L. No. 89-486, § 8, 80 Stat. 244, 248–49. Subsequently, Congress banned all foreign nationals[2] from making such contributions. *See* Federal Election Campaign Act Amendments of 1974, Pub. L. No. 93-443, § 101(d), 88 Stat. 1263, 1267.

Still, suspicions of foreign influence in American elections remained a pervasive concern. Following the 1996 election, the Senate Committee on Governmental Affairs investigated foreign campaign contributions. *See* S. Rep. No. 105-167 (1998). The Committee Report identified efforts by agents of the People's Republic of China to "influence U.S. policies and elections through, among other means, financing election campaigns." *Id.*, pt. 1, at 47. The report focused chiefly on federal elections, but also referred to a "seeding program" to develop individuals to run in state and local elections. *Id.*, pt. 2, at 2509.

In response to the Committee Report, Congress enacted the Bipartisan Campaign Reform Act of 2002 (BCRA), which amended FECA and further limited foreign nationals' ability to participate in elections. *See* Pub. L. No. 107-155, § 303, 116 Stat. 81, 96. As amended, § 30121(a) currently states,

[2] A "foreign national" is "a foreign principal" or "an individual who is not a citizen of the United States or a national of the United States . . . and who is not lawfully admitted for permanent residence." 52 U.S.C. § 30121(b).

> It shall be unlawful for—
>
> > (1) a foreign national, directly or indirectly, to make—
> >
> > > (A) a contribution or donation of money or other thing of value, or to make an express or implied promise to make a contribution or donation in connection with a Federal, State, or local election;
> > >
> > > (B) a contribution or donation to a committee of a political party; or
> > >
> > > (C) an expenditure, independent expenditure, or disbursement for an electioneering communication . . .

52 U.S.C. § 30121(a).

A

Appellants challenge whether Congress has the power to prohibit foreign nationals from donating and contributing to state and local elections. Due to the federal government's plenary power over foreign affairs and immigration, we find that Congress has such a power.

The federal government has the "inherent power as sovereign to control and conduct relations with foreign nations." *Arizona v. United States*, 567 U.S. 387, 395 (2012); *see also United States v. Curtiss-Wright Exp. Corp.*, 299 U.S. 304, 318–19 (1936). The Constitution grants the federal government an "undoubted power over the subject of immigration and the status of aliens." *Arizona*, 567 U.S. at

394; *see also* U.S. Const. art. I, § 8, cl. 4 (granting Congress the power to "establish an uniform Rule of Naturalization"). Thus, where, as here, Congress has made a judgment on a matter of foreign affairs and national security by barring foreign nationals from contributing to our election processes, it retains a broad power to legislate. The Supreme Court has recognized that "any policy toward aliens is vitally and intricately interwoven with contemporaneous policies in regard to the conduct of foreign relations, the war power, and the maintenance of a republican form of government." *Harisiades v. Shaughnessy*, 342 U.S. 580, 588–89 (1952). A prohibition on campaign donations and contributions by foreign nationals is necessary and proper to the exercise of the immigration and foreign relations powers. *See* U.S. Const. art. I, § 8, cl. 18. Accordingly, Congress was within its power when it acted to protect the country's political processes after recognizing the susceptibility of the elections process to foreign interference.[3]

Appellants assert that because the Constitution "intended to preserve to the States the power . . . to establish and maintain their own separate and independent governments," Congress may not legislate over state and local elections *at all*. *Oregon v. Mitchell*, 400 U.S. 112, 124 (1970) (opinion of Black, J.). In *Mitchell*, the Court found unconstitutional a provision of the Voting Rights Act that set the voting age for state and local elections at eighteen. *Id.* at 117–18. Similarly, in *James v. Bowman*, the Court struck down a federal statute criminalizing bribery in state and local elections. 190 U.S. 127, 142 (1903).

[3] Importantly, § 30121(a)(1) bars only foreign nationals from making donations and contributions and does not reach the actions of American citizens or permanent residents.

We find these cases inapposite. They discuss Congress's authority to regulate state elections as they relate to citizens of the United States. In contrast, § 30121(a)(1) regulates only foreign nationals, which is within the ambit of Congress's broad power to regulate foreign affairs and condition immigration. Therefore, the case before us is readily distinguished from *Mitchell* and *James*.

Accordingly, we hold that Congress acted within its constitutional authority in enacting § 30121(a).

B

We next consider Appellants' First Amendment challenge. The district court determined § 30121(a) does not violate foreign nationals' First Amendment rights, concluding that "it is bound by [the decision in *Bluman v. FEC*, 800 F. Supp. 2d 281 (D.D.C. 2011), *aff'd*, 565 U.S. 1104 (2012)] due to the Supreme Court's summary affirmance." Appellants argue that we are not bound by the summary affirmance, because "a summary affirmance by [the Supreme] Court is a 'rather slender reed' on which to rest future decisions." *Morse v. Republican Party of Va.*, 517 U.S. 186, 203 n.21 (1996) (quoting *Anderson v. Celebrezze*, 460 U.S. 780, 784 n.5 (1983)). Further, because *Bluman* considered foreign national participation in a *federal* election—not, as here, a *state or local* election—Appellants argue that the summary affirmance poses no bar.

"[T]he Supreme Court's summary affirmances bind lower courts, unless subsequent developments suggest otherwise. . . . Although . . . the Supreme Court is more willing to reconsider its own summary dispositions than it is to revisit its prior opinions, this principle does not release the lower courts from the binding effect of summary affirmances." *United States v. Blaine Cty.*, 363 F.3d 897,

904 (9th Cir. 2004) (citing *Hicks v. Miranda*, 422 U.S. 332, 344–45 (1975)). And, although "[t]he precedential effect of a summary affirmance extends no further than the precise issues presented and necessarily decided by those actions," *Green v. City of Tucson*, 340 F.3d 891, 902 (9th Cir. 2003) (quoting *Anderson*, 460 U.S. at 784 n.5), *Bluman did* decide the precise issue present in this case. In *Bluman*, a plaintiff sought to donate money to federal candidates *and* a candidate running for the New York state senate. 800 F. Supp. 2d at 285. Thus, we agree with the district court that we are bound by the Supreme Court's summary affirmance in *Bluman*.

II

The penalty provision applying to violations of § 30121 requires that an individual act "knowingly and willfully" when making a prohibited donation or contribution:

> (1)(A) Any person who *knowingly and willfully* commits a violation of any provision of this Act which involves the making, receiving, or reporting of any contribution, donation, or expenditure—
>
> > (i) aggregating $25,000 or more during a calendar year shall be fined under Title 18, or imprisoned for not more than 5 years, or both . . .

52 U.S.C. § 30109(d) (emphasis added). Appellants argue that the district court committed reversible error by failing to properly instruct the jury as to the required mental state. Appellants argue that *Ratzlaf v. United States*, 510 U.S. 135 (1994), requires that the government prove that the defendants harbored the specific intent to evade § 30121, not

merely the intent to commit unlawful conduct. Singh additionally argues that the district court erred by failing to instruct the jury that "knowledge of Azano's immigration status was a material element of the crime."

"We review the formulation of jury instructions for abuse of discretion, but review de novo whether those instructions correctly state the elements of the offense and adequately cover the defendant's theory of the case." *United States v. Liew*, 856 F.3d 585, 595–96 (9th Cir. 2017).

A

In its jury instructions covering Azano's principal offense, the district court stated the intent element for §§ 30109(d)(1)(A) and 30121 as follows:

> Fourth, defendant acted knowingly and willfully.
>
> . . .
>
> *An act is done willfully if the defendant acted with knowledge that some part of his course of conduct was unlawful and with the intent to do something the law forbids, and again not by mistake or accident.* In other words, a person acts "willfully" when he acts with a bad purpose to disobey or disregard the law.
>
> *It is not necessary for the government to prove that the defendant was aware of the specific provision of the law that he is charged with violating.* Rather, it is sufficient for the defendant to act knowing that his conduct is unlawful, even if he does

> not know precisely which law or regulation makes it so.

Azano objected to this instruction, and proposed instead the jury be told that "in order to find that a defendant knowingly and willfully committed the crime charged in this count, you must find that he knew his actions violated the prohibition on foreign national contributions at the time he performed them." Similarly, the jury instruction for Singh's charge required only "knowledge that some part of his course of conduct was unlawful," not that he knew specifically of the prohibition on foreign national contributions.[4]

"The word 'willfully' is sometimes said to be 'a word of many meanings' whose construction is often dependent on the context in which it appears." *Bryan v. United States*, 524 U.S. 184, 191 (1998). There are two primary interpretations of "willfully" in the criminal context. Generally, "to establish a 'willful' violation of a statute, 'the Government must prove that the defendant acted with knowledge that his conduct was unlawful.'" *Id.* at 191–92 (quoting *Ratzlaf*, 510 U.S. at 137). Alternatively, a willful violation may require proof that the defendant knows the specific legal prohibition or law that his conduct violates. *See, e.g.*, *Ratzlaf*, 510 U.S. at 149. In *Ratzlaf*, a case involving domestic financial transactions, the Court held that "willfulness" required the government to prove that the defendant knew "not only of the bank's duty to report cash transactions in excess of $10,000, but also of his duty not to avoid triggering such a report." *Id.* at 146–47. In other words, the government had to show that the defendant knew the precise prohibition at issue. Similarly, several tax

[4] Although Singh's proposed jury instructions did not clearly request a heightened standard, we nonetheless address his arguments.

statutes require proof that the defendant was aware of the provision she is charged with violating. *See, e.g.*, *Cheek v. United States*, 498 U.S. 192, 201 (1991); *United States v. DeTar*, 832 F.2d 1110, 1114 (9th Cir. 1987). Cases requiring this heightened standard "involved highly technical statutes that presented the danger of ensnaring individuals engaged in apparently innocent conduct." *Bryan*, 524 U.S. at 194.

In contrast, § 30121 is not a technical statute, nor does it present the same concern of inadvertently ensnaring uninformed individuals. In *Ratzlaf*, the Court discussed how an identical action—structuring a transaction—could have different legal and tax implications simply by varying the amount of the transaction. 510 U.S. at 145. Because the line between liability and innocent conduct in that case was so narrow, the requirement of a heightened standard was necessary. We see no such narrow line in § 30121, which simply prohibits foreign nationals from donating or contributing to candidates or political parties. Azano suggests that it may be difficult to discern whether a specific donation is prohibited since foreign nationals may still donate to "issue advocacy," but the Court did so clearly in *FEC v. Wisconsin Right to Life, Inc.*, 551 U.S. 449, 456 (2007). Azano further suggests it may be difficult to discern what is prohibited because only in the last thirty-five years were donations to political candidates and parties criminalized. Yet, it is our "traditional rule that ignorance of the law is no excuse" from liability and Azano's distinctions, then, provide no basis to apply the heightened standard. *Bryan*, 524 U.S. at 196.

Azano next points to *United States v. Goland*, 959 F.2d 1449 (9th Cir. 1992), which involved a jury instruction using the heightened *Ratzlaf* standard to define "willfully" in

§ 30109(d)(1)(A). Azano argues that because we have previously endorsed a heightened standard, we should do so again. However, *Goland* addressed only whether the district court abused its discretion by failing to instruct the jury that it may not infer the defendant's specific intent to violate FECA simply from his failure to adhere to administrative or civil provisions. *Id.* at 1454. We did not consider whether § 30109(d)(1)(A) *requires* a heightened standard. Similarly, in *United States v. Whittemore*, 776 F.3d 1074, 1078–81 (9th Cir. 2015), we assessed only whether the jury instruction given by the district court adequately allowed the jury to consider the defense's theory, not which standard was required. Neither case provides meaningful guidance for the question presented here.

Azano also cites language in the district court's opinion in *Bluman* for the proposition that "seeking criminal penalties for violations of [§ 30121]—which requires that the defendant act 'willfully'— . . . require[s] proof of the defendant's knowledge of the law." 800 F. Supp. 2d at 292 (citation omitted). However, this statement played no role in the judgment of the panel, and the court provided no support for it besides a citation to *United States v. Moore*, 612 F.3d 698, 702–04 (D.C. Cir. 2010) (Kavanaugh, J., concurring), a case considering an entirely different statute. Not an essential part of the holding and with no analysis, this language in *Bluman* does not persuade us that the heightened specific intent standard is appropriate for this statute.

Instead, we find persuasive the analysis of a sister circuit that addressed whether the defendants acted "knowingly and willfully" pursuant to § 30109(d)(1)(A) when charged with violating FECA's reporting requirements under § 30104. In *United States v. Benton*, the court held that the district court did not abuse its discretion when giving a jury instruction

adopting the *Bryan* standard of willfulness. 890 F.3d 697, 715 (8th Cir. 2018). It rejected the defendant's argument that "willfully" under FECA falls within the exception for highly technical statutes. We reach the same conclusion here. Appellants make no showing that § 30109(d)(1)(A) requires application of the heightened standard.

Nor does the rule of lenity require that we interpret "willfully" to require a heightened standard. While "ambiguity concerning the ambit of criminal statutes should be resolved in favor of lenity," *Skilling v. United States*, 561 U.S. 358, 410 (2010) (quoting *Cleveland v. United States*, 531 U.S. 12, 25 (2000)), Azano asks us to conclude that *any* criminal statute that imports a willfulness mens rea is somehow vague or ambiguous. This does not comport with the Supreme Court's case law, as we generally apply the willfulness standard articulated in *Bryan*, and require the heightened specific intent standard only in exceptional cases. *See* 524 U.S. at 194–95 ("[W]e held that these statutes 'carv[e] out an exception to the traditional rule' that ignorance of the law is no excuse and require that the defendant have knowledge of the law." (footnote omitted) (second alteration in original) (quoting *Cheek*, 498 U.S. at 200)).

Azano's related argument that a heightened specific intent standard properly applied to the conspiracy charge fails for the same reasons. Because it appropriately applied the *Bryan* standard, the district court did not abuse its discretion in stating the mens rea requirement for counts one or three. Moreover, the evidence proffered at trial indicated that Appellants took steps to conceal their actions, which suggests that they possessed knowledge that their actions were unlawful, not that they unwittingly engaged in criminal conduct.

B

As to the charge that Singh aided and abetted Azano's unlawful donations, the district court's jury instruction stated:

> The evidence must show beyond a reasonable doubt that the defendant acted with the knowledge and intention of helping [Azano] to commit the crime of making donations and contributions by a foreign national aggregating at least $25,000 in calendar year 2012, in violation of Title 2, United States Code, Sections 441e(a)(1)(A) and 437g(d)(1)(A).

Singh objected and proposed, in part, that the jury be told that "the government must prove . . . beyond a reasonable doubt . . . that Ravneet Singh knew that Mr. Azano was not a United States citizen or legal permanent resident." Singh argues that the district court's failure to include the material element that he *knew* Azano lacked immigration status constitutes reversible error.

The government agrees that Singh's knowledge of Azano's immigration status was a material element of the charged crime, but argues that the element was included within the district court's broader instructions. That Singh was charged with aiding and abetting the making of donations *by a foreign national* implies that Singh must know that Azano was a foreign national. The government also points to various places in the record where the parties noted this requirement. For example, the prosecutor stated, "We have to prove that the defendant knew that [Azano] was a foreign national."

We agree with the government. "The jury must be instructed as to the defense theory of the case, but the exact language proposed by the defendant need not be used, and it is not error to refuse a proposed instruction so long as the other instructions in their entirety cover that theory." *United States v. Kenny*, 645 F.2d 1323, 1337 (9th Cir. 1981). Although the district court could have properly included an express instruction regarding Singh's knowledge of Azano's immigration status, the instructions, as a whole, adequately covered that element. The instructions stated, "The evidence must show beyond a reasonable doubt that [Singh] acted with the knowledge and intention of helping [Azano] to commit the crime of making donations and contributions by a foreign national." The jury thus knew that in order to find Singh guilty, it had to find that Singh was aware that Azano was a foreign national.

The arguments and evidence presented at trial further clarified this requirement. Singh's primary defense was that he did not know Azano's immigration status. Defense counsel stated in his closing argument, "The government has absolutely failed to prove beyond a reasonable doubt that Ravi Singh knew that Mr. Azano was not a citizen nor a green card holder and therefore was ineligible to do anything." In response to this theory, the government presented ample evidence of Singh's knowledge. First, Singh's relationship with Azano started with services relating to the Mexican presidential election in 2011 in connection with which he traveled to Mexico with Azano. The Appellants' relationship continued thereafter, and Singh performed other work for Azano's Mexican businesses. Next, Singh took clear steps to conceal Azano's involvement in the campaigns. In emails, Singh admonished coworkers for improper use of code names, and refused to communicate

about relevant topics directly due to the "legal ram[i]fications."

In sum, we find that the jury instructions sufficiently covered the required mental state, as required by § 30109 and Singh's defense theory.

III

Appellants contest their convictions under counts five through thirty-seven, arguing there was insufficient evidence to satisfy the material elements of § 1519. "We review the sufficiency of the evidence de novo." *United States v. Kaplan*, 836 F.3d 1199, 1211 (9th Cir. 2016). We "view[] the evidence in the light most favorable to the prosecution" and ask whether "*any* rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt." *Jackson v. Virginia*, 443 U.S. 307, 319 (1979).

Section 1519 was enacted as part of the Sarbanes-Oxley Act of 2002, Pub. L. No. 107-204, 116 Stat. 745, and "was intended to prohibit, in particular, corporate document-shredding to hide evidence of financial wrongdoing." *Yates v. United States*, 135 S. Ct. 1074, 1081 (2015). It provides that

> [w]hoever knowingly alters, destroys, mutilates, conceals, covers up, falsifies, or makes a false entry in any record, document, or tangible object with the intent to impede, obstruct, or influence the investigation or proper administration of any matter within the jurisdiction of any department or agency of the United States . . . shall be fined under this title, imprisoned not more than 20 years, or both.

18 U.S.C. § 1519. "In order to prove a violation of § 1519, the Government must show that the defendant (1) knowingly committed one of the enumerated acts in the statute, such as destroying or concealing; (2) towards 'any record, document, or tangible object'; (3) with the intent to obstruct an actual or contemplated investigation by the United States of a matter within its jurisdiction." *United States v. Katakis*, 800 F.3d 1017, 1023 (9th Cir. 2015).

The government offered two theories on the falsification of records charges. For counts thirty-two and thirty-seven, the government argued that Singh failed to disclose that Azano paid for Singh's social media services rendered to both the Dumanis and Filner campaigns. Dumanis's campaign manager, Jennifer Tierney, discussed payment options with Singh, who responded that he would "voluntarily help" to "break[] into the San Diego market" after being warned "[t]hat no one could pay someone to volunteer in a campaign." For the Filner campaign, campaign manager Ed Clancy testified that when discussing payment options, Singh responded, "Don't worry. It's taken care of." The government argued that these material omissions caused the campaigns to file false entries on campaign disclosure reports. For Azano's remaining counts, the government argued that he made false statements to the campaigns by using strawmen donors to conceal his political donations. Azano never donated himself, but instead instructed others to write checks on his silent behalf, with the promise of reimbursement. The government argued that these straw donors caused the campaigns to file false entries on campaign disclosure reports.

A

Appellants first argue that the government failed to introduce evidence to satisfy *any* of the material elements of

§ 1519 for counts thirty-two and thirty-seven. We assess each element in turn.

1. Actus Reus

The government relied on Singh's omission to satisfy § 1519's actus reus element. Singh argues that the language in § 1519 requires an affirmative act, and that a mere omission, without an affirmative duty, cannot satisfy the element. Yet, many courts, including our own, have found that an omission with the requisite mental state satisfies the element. *See, e.g.*, *United States v. Taohim*, 529 F. App'x 969, 974 (11th Cir. 2013) (per curiam); *United States v. Moyer*, 674 F.3d 192, 207 (3d Cir. 2012); *United States v. Schmeltz*, 667 F.3d 685, 687–88 (6th Cir. 2011); *United States v. Jackson*, 186 F. App'x 736, 738–39 (9th Cir. 2006); *see also United States v. Lanham*, 617 F.3d 873, 887 (6th Cir. 2010) ("Material omissions of fact can be interpreted as an attempt to 'cover up' or 'conceal' information."). None of these decisions analyzed in depth the question before us; they instead *assumed* that an omission with the requisite intent satisfies § 1519. But Singh cites no case that has held that an omission does not satisfy the requisite intent.

Two district courts have provided more extensive analysis on the issue and concluded that an omission constitutes a "false entry" within the meaning of § 1519. *See United States v. Croley*, No. 1:14-CR-29-2 (WLS), 2016 WL 1057015, at *5–6 (M.D. Ga. Mar. 14, 2016); *United States v. Norman*, 87 F. Supp. 3d 737, 743–46 (E.D. Pa. 2015). *Croley* found that the plain language of § 1519 "does not exclude a knowing and intentional omission being construed as a false report." 2016 WL 1057015, at *5. *Norman* noted the lack of authority on this precise issue, but drew from the generally accepted premise that an omission with the requisite mental state constitutes a deceptive practice, and

relied on a comparison to "an analogous statute," 18 U.S.C. § 1005. 87 F. Supp. 3d at 744. Section 1005 prohibits "any false entry in any book, report, or statement of [a] bank . . . with intent to injure or defraud such bank . . . or to deceive any officer of such bank." 18 U.S.C. § 1005. Both §§ 1519 and 1005 prohibit false entries with the requisite mental state, and "[u]nder § 1005, 'an omission of material information qualifies as a false entry.'" *United States v. Weidner*, 437 F.3d 1023, 1037 (10th Cir. 2006) (quoting *United States v. Cordell*, 912 F.2d 769, 773 (5th Cir. 1990)).

We find the district courts' analyses convincing. It is difficult to differentiate between the culpability of one who intentionally omits information, and one who conceals or falsifies information. It may also be difficult to differentiate between acts of concealment and omission. Imagine, for example, an individual who omits the detail of a specific, identifiable tattoo from a witness statement, in order to conceal the identity of a perpetrator. In such a situation, the omission *is* an act of concealment or falsification.

Singh observes that the text of § 1519 lists only *affirmative* prohibited acts, and relies on the "interpretive canon, *expressio unius est exclusio alterius*, 'expressing one item of [an] associated group or series excludes another left unmentioned.'" *Chevron U.S.A. Inc. v. Echazabal*, 536 U.S. 73, 80 (2002) (alteration in original) (quoting *United States v. Vonn*, 535 U.S. 55, 65 (2002)). But "[h]owever well [statutory canons such as *expressio unius*] may serve at times to aid in deciphering legislative intent, they have long been subordinated to the doctrine that courts will construe the details of an act in conformity with its dominating general purpose." *SEC v. C. M. Joiner Leasing Corp.*, 320 U.S. 344, 350 (1943). Congress intended for § 1519 to apply to a broad range of conduct. *See* S. Rep. No. 107-146, at 14

(2002) ("Section 1519 is meant to apply *broadly* to any acts to destroy or fabricate physical evidence *so long as they are done with the intent* to obstruct, impede, or influence the investigation or proper administration of any matter . . . .") (emphasis added)). This supports the conclusion that an omission satisfies § 1519's actus reus element, especially since terms such as "conceal" and "false entry," specifically listed in the statute, refer to similar actions.

Singh further argues that even if he omitted the information that Azano was paying him for the social media services he provided to the campaigns, he had no duty to disclose that information. He claims that since he played no role in preparing the campaign disclosure forms, his connection to any actions taken was particularly tenuous. This argument has merit. In most of the cases where courts affirmed § 1519 convictions based on omissions, the defendants either prepared the record or document, or were responsible for doing so. *See, e.g.*, *Taohim*, 529 F. App'x at 974 n.2 (finding that the jury could reasonably have found the defendant responsible for the report at issue); *Moyer*, 674 F.3d at 207 (finding that a chief of police had a legal duty to disclose certain information in his report). The campaign disclosure forms for the mayoral candidates in this case were filed pursuant to San Diego's Municipal Code section 27.2930(a) and California Government Code section 84200.5—both of which imposed the reporting requirements on *campaigns* and *candidates*, not on individuals "volunteering" or providing services to the campaigns.

However, Singh was not simply convicted under § 1519. Instead, the jury instructions and the Indictment disclosed that the government proceeded under 18 U.S.C. § 2(b) in conjunction with § 1519. "[Section 2(b)] is intended 'to impose criminal liability on one who causes an intermediary

to commit a criminal act, even though the intermediary who performed the act has no criminal intent and hence is innocent of the substantive crime charged. . . .'" *United States v. Richeson*, 825 F.2d 17, 20 (4th Cir. 1987) (second alteration in original) (quoting *United States v. Tobon-Builes*, 706 F.2d 1092, 1099 (11th Cir. 1983)). It specifically prohibits a person from "willfully caus[ing] an act to be done which if directly performed by him or another would be an offense against the United States." 18 U.S.C. § 2(b).

Under this theory of liability, the actus reus element merges with the mens rea element to focus liability on the person harboring the criminal intent. *United States v. Curran*, 20 F.3d 560, 567 (3d Cir. 1994) ("Under section 2(b), the intermediary committing the *actus reus*, the physical aspect of a crime, may be blameless and, therefore, is not the person whom society seeks to punish. To fix blameworthiness on the actual malefactor, § 2(b) merges the *mens rea* and *actus reus* elements and imposes liability on the person possessing the 'evil intent' to cause the criminal statute to be violated."). Thus, the government did not need to prove that Singh prepared the reports or had a duty to report Azano's patronage; rather, that the campaign had a duty to report the information is enough. *See United States v. Fairchild*, 990 F.2d 1139, 1141 (9th Cir. 1993) (finding liability under § 2(b) because defendant's actions caused false statements to be made to the government).

Proceeding under this theory is in line with Congress's intention that § 1519 be broadly construed:

> Finally, [section 1519] could also be used to prosecute a person who actually destroys the records himself *in addition to one who persuades another to do so*, ending yet

> another technical distinction which burdens successful prosecution of wrongdoers.

S. Rep. No. 107-146, at 15 (emphasis added). Where, as here, the campaign lacked the requisite intent because it was unaware of Azano's payments due to Singh's silence, § 2(b) authorized holding accountable those with the intent to conceal or falsify records.

2. Causation Under Section 2(b)

"When a defendant's culpability is based, not on his own communications with the federal agency, but on information furnished to the agency by an intermediary, the element of intent takes on a different cast than it does if a direct violation of [the underlying statute] is asserted." *Curran*, 20 F.3d at 567. By proceeding pursuant to § 2(b), the government had to show that Singh "willfully" caused the false reporting. 18 U.S.C. § 2(b). Singh argues that *Curran* compels us to use the *Ratzlaf* standard, which would require that he must have known "the reporting requirements and intended to cause them to be evaded." But, under either the *Ratzlaf* or *Bryan* standard, we find the evidence sufficient to affirm count thirty-two for Singh's actions in connection with the Dumanis campaign, although insufficient to affirm count thirty-seven in connection with his actions regarding the Filner campaign.

The government presented sufficient evidence for a jury to find that Singh willfully caused the Dumanis campaign to file falsified reports, and so we affirm Appellants' convictions under count thirty-two. The government established that Singh had a long history of providing his professional services in connection with political campaigns and elections, that he had operated ElectionMall since 2003, and had even run for a political office himself at an earlier

time. Tierney testified that she warned Singh "[t]hat no one could pay someone to volunteer in a campaign," and "[t]hat if any payments were made, those would have to be reported to the campaign, and we would have to report them on a [Form] 460." Knowing these reporting requirements, Singh still offered to "voluntarily help" and concealed Azano's payments by using code names and invoicing through separate companies. The jury reasonably could have found that Singh knew campaign disclosure reports required disclosing in-kind contributions, and that he withheld his funding to prevent such disclosures.[5]

Regarding Appellants' convictions pursuant to count thirty-seven—causing the Filner campaign to file false reports—we find the evidence insufficient to sustain either conviction. When the Filner campaign asked about payment for Singh's social media services, Singh stated, "Don't worry. It's taken care of." Clancy, the campaign manager, did not respond with any questions, and later admitted, "I made a mistake . . . . I internalized the information . . . . I should have let somebody know." Singh's statement cannot reasonably be construed as willfully causing the Filner campaign to file falsified reports. Instead, Singh's statements suggested that he was being paid by a third party, yet the campaign failed to note this in the reports. This cannot meet even the *Bryan* standard of willfulness, and so we reverse both convictions under count thirty-seven.

[5] On this point, Singh also argues that the jury instructions were erroneous. Due to the overwhelming evidence we have recited, however, we find any instructional error harmless beyond a reasonable doubt. *See Neder v. United States*, 527 U.S. 1, 9–10 (1999).

3. Investigation

Singh also argues that the government did not show that his actions were taken with "the intent to impede, obstruct, or influence the investigation or proper administration of any matter." 18 U.S.C. § 1519. He cites cases that focus on the nexus between the action and an investigation to argue that the government erred "by conflating the intent to commit the underlying crime with the intent to impede a subsequent investigation."

On its face, the statute is particularly broad regarding the investigation element. One need not impede, obstruct, or influence an actual ongoing investigation; instead, the mere fact that the defendant contemplates an investigation satisfies this element. *United States v. Gonzalez*, 906 F.3d 784, 793–96 (9th Cir. 2018). Congress intentionally relaxed this requirement to allow the statute to reach more broadly. *See* S. Rep. No. 107-146, at 14–15 ("This statute is specifically meant not to include any technical requirement, which some courts have read into other obstruction of justice statutes, to tie the obstructive conduct to a pending or imminent proceeding or matter. It is also sufficient that the act is done "in contemplation" of or in relation to a matter or investigation.").[6]

Reading the section broadly, the government presented sufficient evidence to prove this element. The government established that Singh had a long history of involvement in campaigns and elections, and that he was warned about the

[6] Our sister circuits have similarly interpreted the section broadly. *See, e.g.*, *United States v. Moore*, 708 F.3d 639, 649 (5th Cir. 2013); *United States v. Kernell*, 667 F.3d 746, 755 (6th Cir. 2012); *United States v. Gray*, 642 F.3d 371, 378–79 (2d Cir. 2011).

reporting requirements in the San Diego mayoralty campaigns. Still, Singh stated he would "voluntarily help" and did not disclose any payments by Azano. Singh limited any paper trail by using code names and admonishing those discussing Azano's payments in emails. From this evidence, a jury could reasonably infer that Singh contemplated an investigation due to unlawful activity and intended to direct that investigation away from himself.

4. Jurisdiction

Lastly, Singh argues that any investigation of his conduct is not within the jurisdiction of the United States, because it involved a local campaign, and the falsified campaign disclosure forms violated state and local laws, not federal law. Section 1519 requires that the conduct "influence the investigation or proper administration of *any matter within the jurisdiction of any department or agency of the United States*." 18 U.S.C. § 1519 (emphasis added).

Singh misconstrues the focus of the investigation. We agree that violations of state campaign disclosure laws do not fall within the jurisdiction of the United States; however, the Federal Bureau of Investigation (FBI) has jurisdiction to investigate violations of FECA. This extends to state and local elections insofar as the FBI investigates donations by a foreign national. Here, the FBI did investigate the campaigns, due to Azano's foreign nationality. That the reports were filed pursuant to state law has no bearing since they were sought in connection with the investigation of a federal crime.

Singh cites *United States v. Facchini*, 874 F.2d 638 (9th Cir. 1989) (en banc), and *United States v. Ford*, 639 F.3d 718 (6th Cir. 2011), to support his argument. Both cases involved prosecutions pursuant to 18 U.S.C. § 1001, and

both cases found no "direct relationship . . . between the false statement and an authorized function of a federal agency or department." *Facchini*, 874 F.2d at 641; *see also Ford*, 639 F.3d at 720–22. In contrast, the government here focused on donations and contributions *by a foreign national*, and those fall within the jurisdiction of the FBI.[7]

B

Azano also argues there was insufficient evidence to affirm his remaining convictions under counts five through thirty-one and thirty-three through thirty-six. We conclude that the government presented sufficient evidence to show that Azano willfully caused the campaigns to make false entries on campaign disclosure forms with the intent of obstructing a potential investigation. Chase testified that Azano asked him to recruit straw donors for the Dumanis campaign and make a large donation to a Filner PAC, and promised to reimburse him for those donations. Azano also tasked his employee, Jason Wolter, and his own son, Hester, to "recruit . . . friends . . . to write a $500 check to the campaign." The government presented a ledger seized from Azano's home that tallied all straw donations obtained. Azano made no direct donations, but his U.S.-based company, AIRSAM, made a $100,000 donation to fund a Dumanis PAC. A local newspaper article traced the money back to Azano, questioning whether the donation was legal due to Azano's immigration status. The government noted that, subsequently, Azano never made another donation

[7] Singh argues that the rule of lenity directs us to resolve any ambiguity in § 1519 in his favor. But even if we were to agree that the statute is ambiguous, we would refuse to apply the rule of lenity in this case given the strong evidence that Appellants knew that their actions were unlawful. *See United States v. Nader*, 542 F.3d 713, 721 (9th Cir. 2008).

through AIRSAM. All of the evidence presented allowed a rational trier of fact to find that Azano knowingly caused the campaigns to make false entries on campaign disclosure forms with the intent to obstruct a potential investigation.

Azano additionally argues that there was insufficient evidence to convict him of count thirty-three, which involved a $100,000 donation from AIRSAM to a Dumanis PAC. While Azano correctly notes that AIRSAM may legally donate to a PAC, *see Citizens United v. FEC*, 558 U.S. 310, 372 (2010), the government proceeded under the theory that AIRSAM was a straw donor for Azano, who had no constitutional right to donate. We find that the government presented sufficient evidence that Azano put the funds into AIRSAM's account to disguise the donation, much like the straw donations provided by U.S. citizens. The government presented documentation showing that AIRSAM's bank account did not have the funds on May 8, 2012—the date on the check to Dumanis's PAC—to pay the $100,000 pledged. The government then presented bank statements showing transfers from Azano's personal bank account ($125,000) and from his Mexican company ($300,000) into AIRSAM's account.

In summation, we hold that an omission satisfies the actus reus element for § 1519. A reasonable jury could have found beyond a reasonable doubt that Singh's omission willfully caused Dumanis's campaign to file false reports, and so we affirm Azano's and Singh's convictions under count thirty-two. Furthermore, a reasonable jury could have found beyond a reasonable doubt that Azano concealed his identity from these campaigns by recruiting straw donors, and that he willfully caused both campaigns to file false reports. We therefore affirm Azano's convictions under counts five through thirty-six. Finally, finding the evidence

insufficient to prove that Singh willfully caused the Filner campaign to file false records, we reverse Appellants' convictions under count thirty-seven.

IV

Singh next appeals his conviction for conspiracy, charged in count one. First, he argues that the court failed "to instruct the jury that evidence of more than one conspiracy was presented to the jury." We review de novo whether the jury instructions adequately cover the defendant's theory of the case. *Liew*, 856 F.3d at 595–96.

We find that the following jury instruction adequately covered Singh's multiple conspiracy theory:

> [The jury] must decide whether the conspiracy charged in Count 1 of the Indictment existed, and, if it did, who at least some of its members were. If you find that the conspiracy charged did not exist for the charged Count, then you must return a not guilty verdict for that Count, even though you may find that some other conspiracy existed. Similarly, if you find that any defendant was not a member of the charged conspiracy, then you must find that defendant not guilty for that Count, even though that defendant may have been a member of some other conspiracy.

Thus, the jury had to find that Singh participated in the *charged* conspiracy; if not, "even though [Singh] may have been a member of some other conspiracy," the jury was instructed to return a not guilty verdict. It was the jury that had to decide whether a conspiracy or multiple conspiracies

existed, and the court's jury instruction adequately presented this theory. *See United States v. Loya*, 807 F.2d 1483, 1492–93 (9th Cir. 1987).

Singh also argues that there was insufficient evidence of a single conspiracy to sustain his conviction. Instead, he claims that the government proved only a "rimless conspiracy" under which his conviction could not stand. "Whether a single conspiracy has been proved is a question of the sufficiency of the evidence," and we review such claims de novo. *United States v. Fernandez*, 388 F.3d 1199, 1226 (9th Cir. 2004), *as amended*, 425 F.3d 1248 (9th Cir. 2005).

To determine whether a single conspiracy or multiple conspiracies have been proven, we employ the following test:

> A single conspiracy can only be demonstrated by proof that an overall agreement existed among the conspirators. Furthermore, the evidence must show that each defendant knew, or had reason to know, that his benefits were probably dependent upon the success of the entire operation. Typically, the inference of an overall agreement is drawn from proof of a single objective . . . or from proof that the key participants and the method of operation remained constant throughout the conspiracy. The inference that a defendant had reason to believe that his benefits were dependent upon the success of the entire venture may be drawn from proof that the coconspirators knew of each other's participation or actually

> benefitted from the activities of his coconspirators.

Id. (quoting *United States v. Duran*, 189 F.3d 1071, 1080 (9th Cir. 1999)). "[I]f the indictment alleges a single conspiracy, but the evidence at trial establishes only that there were multiple unrelated conspiracies, there is insufficient evidence to support the conviction on the crime charged, and the affected conviction must be reversed." *Id.* at 1226–27. Nonetheless, "[a] single conspiracy may involve several subagreements or subgroups of conspirators." *United States v. Bibbero*, 749 F.2d 581, 587 (9th Cir. 1984).

The Indictment alleged a single conspiracy. Singh argues that his only objective was to make money for his social media business, not to influence elections. Yet the jury could reasonably have concluded that Singh's goal was broader. In an email from Dumanis to her campaign staff, she reported that she "got a call, conference call, from Ernie Encinas, Susumo Azano, and Ravi Singh. . . [Singh] apparently flew to SD just to talk with Mr. A who wanted him to talk to me!" In an email between Singh and Encinas, Encinas mentioned, "[Azano] was upset about the money he said *he sent you to form a PAC* and do the social media." These interactions with Azano suggested that Singh's role was not limited to his social media business, but included generally assisting Azano with the campaigns.

Furthermore, the key participants and method of operations remained the same throughout the period of the conspiracy. All co-defendants acted from at least December 2011 to November 2012. Singh spoke with Azano and then flew to San Diego to meet with the Dumanis campaign at the end of December. At the same time, Chase and Hester

secured straw donors to contribute to Dumanis's campaign. Just as Chase, Hester, and Encinas concealed Azano's donations to the campaigns, so too Singh concealed Azano's patronage. Once Dumanis lost the primary, all the participants proceeded to support the Filner campaign in much the same way. The jury could reasonably have inferred an overall agreement from the proof of a single goal, or from proof that these key participants and their general operations remained constant throughout the conspiracy.

It might be a closer question whether Singh knew, or had reason to know, about the other co-conspirators' participation. The government provided sufficient evidence that Singh knew Azano and Encinas and the role they played in coordinating efforts for the San Diego mayoral race, but there is no direct evidence that Singh knew of the subgroup who obtained straw donors. However, the government did not need to show that Singh "knew all of the purposes of and all of the participants in the conspiracy." *United States v. Kearney*, 560 F.2d 1358, 1362 (9th Cir. 1977). Instead, while there may not have been proof of direct knowledge of Hester's, Cortes's, or Chase's contributions, there was proof that Singh benefitted from them, as they all worked towards election of mayoral candidates. The straw donations that Hester, Cortes, and Chase obtained, whether for the individual campaigns or for PACs, affected Singh's success as a "volunteer" for the campaigns. All of their efforts benefitted the common goal of electing Azano's chosen mayoral candidates. Under the standard in *Fernandez*, this was sufficient to show a single conspiracy.

V

Azano was also convicted of unlawfully possessing a firearm as an alien in violation of 18 U.S.C. § 922(g)(5)(B), which states,

> (g) It shall be unlawful for any person—
>
> . . .
>
> (5) who, being an alien—
>
> . . .
>
> (B) except as provided in subsection (y)(2), has been admitted to the United States under a nonimmigrant visa (as that term is defined in section 101(a)(26) of the Immigration and Nationality Act (8 U.S.C. 1101(a)(26)));
>
> . . .
>
> to . . . possess in or affecting commerce, any firearm or ammunition. . .

Subsection "(g)(5)(B) . . . do[es] not apply to any alien who has been lawfully admitted to the United States under a nonimmigrant visa, if that alien is . . . admitted to the United States for lawful hunting or *sporting purposes* or is in possession of a hunting license or permit lawfully issued in the United States." *Id.* § 922(y)(2) (emphasis added).

The State Department admitted Azano to the United States through several B1/B2 visas "issued to someone who wishes to visit the United States for personal pleasure and limited business." A nonimmigrant visitor for business is granted a B1 visa, while a visitor for pleasure is granted a B2 visa. 22 C.F.R. § 41.31(a). "The term pleasure . . . refers to legitimate activities of a recreational character, including

tourism, amusement, visits with friends or relatives, rest, medical treatment, and activities of a fraternal, social, or service nature." *Id.* § 41.31(b)(2).

Azano does not dispute that he was admitted under a nonimmigrant visa, but makes three arguments challenging his conviction under § 922(g)(5)(B). First, Azano argues that § 922(g)(5)(B) is unconstitutional because it violates his Second Amendment right to possess a firearm. Next, he argues that the possession of a gun can be "of a recreational character" and for "amusement" and thus, B2 visa holders qualify for § 922(y)(2)'s "sporting purposes" exception. Lastly, Azano alternatively argues that if the regulations and statute do not authorize B2 holders to possess a gun, the statute is unconstitutionally vague as applied to him. We address each argument in turn.

A.

Azano's Second Amendment challenge comes on the heels of our recent decision in *United States v. Torres*, where we held that § 922(g)(5)(A), which prohibits aliens illegally or unlawfully in the United States from possessing firearms, does not violate the Second Amendment. 911 F.3d 1253, 1264–65 (9th Cir. 2019). We must now consider whether § 922(g)(5)(B), a similar prohibition that applies to nonimmigrant visa holders, violates the Second Amendment.

To analyze whether a statute violates the Second Amendment, we utilize a two-step test, which "(1) asks whether the challenged law burdens conduct protected by the Second Amendment and (2) if so, directs courts to apply an appropriate level of scrutiny." *United States v. Chovan*, 735 F.3d 1127, 1136 (9th Cir. 2013). Under the first step, we must determine whether the law burdens the Second

Amendment "based on a 'historical understanding of the scope of the [Second Amendment] right.'" *Jackson v. City and Cty. of San Francisco*, 746 F.3d 953, 960 (9th Cir. 2014) (alteration in original) (quoting *District of Columbia v. Heller*, 554 U.S. 570, 625 (2008)). In *Torres*, we attempted to trace the historical understanding of the right by looking primarily at the Supreme Court's decision in *Heller* and decisions by our sister circuits. We noted that while *Heller* did not resolve who exactly possesses a Second Amendment right, the decision "described the Second Amendment as 'protect[ing] the right of *citizens*' and 'belong[ing] to all *Americans*.'" *Torres*, 911 F.3d at 1259 (alterations in original) (quoting *Heller*, 554 U.S. at 581, 595). Additionally, we observed that while all of our sister circuits that had analyzed the constitutionality of § 922(g)(5)(A) had found the statute constitutional, they had differed in their assessment of its historical scope. *Compare United States v. Portillo-Munoz*, 643 F.3d 437, 440 (5th Cir. 2011) (concluding that "the people" does not include illegal aliens given *Heller*'s descriptions of the right extending to those in "the political community"), *United States v. Flores*, 663 F.3d 1022, 1023 (8th Cir. 2011) (per curiam) (agreeing with the Fifth Circuit), *and United States v. Carpio-Leon*, 701 F.3d 974, 979 (4th Cir. 2012) ("[I]llegal aliens do not belong to the class of law-abiding members of the political community to whom the Second Amendment gives protection."), *with United States v. Meza-Rodriguez*, 798 F.3d 664, 670–72 (7th Cir. 2015) (applying the sufficient connections test in *United States v. Verdugo-Urquidez*, 494 U.S. 259 (1990), to determine that the unlawful alien had sufficient connections to the United States to be afforded Second Amendment rights), *and United States v. Huitron-Guizar*, 678 F.3d 1164, 1168 (10th Cir. 2012) (refusing to determine whether unlawful aliens are within the scope of the Second Amendment and instead assuming it for the second part of

the analysis). After this analysis, we noted that "the state of the law precludes us from reaching a definite answer on whether unlawful aliens are included in the scope of the Second Amendment right." *Torres*, 911 F.3d at 1261.

Even though we address a lawfully admitted, nonimmigrant alien in this case, the same ambiguity exists. Some courts have read the historical right as one afforded only to citizens or those involved in the political community, while others have focused instead on an individual's connection to the United States. Nonimmigrant aliens, like those unlawfully present, are neither citizens nor members of the political community. By definition, "[a]n alien is classifiable as a nonimmigrant visitor for business (B-1) or pleasure (B-2) if . . . [t]he alien intends to leave the United States at the end of the temporary stay." 22 C.F.R. § 41.31(a). In order to grant such a visa, the government ensures that the individual "has permission to enter a foreign country at the end of the temporary stay" and "[a]dequate financial arrangements . . . to carry out the purpose of the visit to and departure from the United States." *Id.* The government argues that because such measures ensure a *temporary* visit, a short-term visitor could not be part of "the people" any more than unlawful or illegal aliens who attempt to permanently reside in the United States. While this argument does not lack force, we believe it prudent to follow *Torres*, "assume (without deciding) that the Second Amendment extends to" nonimmigrant visa holders, and proceed to the second step of the analysis. 911 F.3d at 1261.

In *Torres*, we determined that the appropriate level of scrutiny to apply to a Second Amendment challenge of § 922(g)(5) is intermediate. *Id.* at 1262–63 (explaining that "§ 922(g)(5) does not implicate the *core* Second Amendment right, and . . . its burden is tempered").

Intermediate scrutiny requires "(1) the government's stated objective to be significant, substantial, or important; and (2) a reasonable fit between the challenged regulation and the asserted objective." *Chovan*, 735 F.3d at 1139. The government does not need to show that the statute is "the least restrictive means of achieving its interest," but rather "only that [the statute] promotes a 'substantial government interest that would be achieved less effectively absent the regulation.'" *Fyock v. City of Sunnyvale*, 779 F.3d 991, 1000 (9th Cir. 2015) (quoting *Colacurcio v. City of Kent*, 163 F.3d 545, 553 (9th Cir. 1998)).

The government's interest in this case is straightforward. The government's interest is the same as in *Torres*—crime control and maintaining public safety. This objective has repeatedly been recognized as important within our circuit and elsewhere. *See, e.g.*, *Heller*, 554 U.S. at 626–27 (recognizing that regulations on gun possession or ownership may be lawful due to the government's interest in public safety); *Mahoney v. Sessions*, 871 F.3d 873, 882 (9th Cir. 2017); *United States v. Yancey*, 621 F.3d 681, 684–85 (7th Cir. 2010).

Further, the statute reasonably serves this important interest. It carves out exceptions for visa holders who are less likely to threaten public safety. Section 922(y)(2), for example, exempts those that come to the United States for hunting or sporting purposes. And, § 922(y)(3) creates a broad waiver for visa holders who have "resided in the United States for a continuous period of not less than 180 days" if they receive a statement of support from their embassy or consulate, and the Attorney General confirms that they do not "jeopardize the public safety." 18 U.S.C. § 922(y)(3)(B)(i)–(ii), (C)(ii). We find this tailoring sufficient.

In summary, § 922(g)(5)(B)'s prohibition on firearm possession and ownership by nonimmigrant visa holders serves an important public interest in crime control and public safety, without substantially burdening a nonimmigrant visa holder's assumed Second Amendment right. We therefore hold that § 922(g)(5)(B) survives intermediate scrutiny.

B.

We turn next to Azano's claim that his possession of a gun fell within the "pleasure" designation in 22 C.F.R. § 41.31(b)(2) or automatically qualified as a "sporting purpose" pursuant to 18 U.S.C. § 922(y)(2). Azano further argues that if the regulations and statute are not interpreted this way, they are void for vagueness. We review the interpretation of a statute, and whether it is unconstitutionally vague, de novo. *United States v. Robertson*, 875 F.3d 1281, 1286–87 (9th Cir. 2017).

Azano first argues that all B2 nonimmigrant visa holders should be permitted to own firearms, as their very presence is an "activit[y] of a recreational character." 22 C.F.R § 41.31(b)(2). But the plain language of § 922(g)(5)(B) betrays Azano's argument. Section 922(g)(5)(B) applies directly to nonimmigrant visa holders. Azano agrees that B2 visa holders are nonimmigrant visa holders, yet simply states that we should interpret "pleasure" activities to include firearm ownership. However, "[a]bsent persuasive indications to the contrary, we presume Congress says what it means and means what it says." *Simmons v. Himmelreich*, 136 S. Ct. 1843, 1848 (2016).

Azano's next position—that firearm possession for "sporting purposes" is a pleasure activity—necessarily implies that all B2 visa holders fall under § 922(y)(2)'s

exception. "In construing provisions . . . in which a general statement of policy is qualified by an exception, we usually read the exception narrowly in order to preserve the primary operation of the provision." *Comm'r v. Clark*, 489 U.S. 726, 739 (1989). This interpretive method guides our analysis here. Section 922(g)(5)(B) plainly prohibits firearm possession by B2 visa holders, subject only to limited exceptions clearly spelled out in § 922(y). Had Congress intended for the sporting purposes exception in § 922(y)(2)(A) to apply to all B2 visa holders, it would have said so explicitly.

Further, the record illustrates just how overinclusive Azano's proffered definition would be. Azano has never claimed that he engaged in hunting activities for pleasure or used the firearm for sporting purposes.[8] Instead, he offered evidence suggesting that he possessed the gun solely for protection. Concluding that firearm ownership automatically qualifies as a "pleasure" activity or "sporting purpose" would thus be difficult in the light of the facts of this case alone.

Azano's void-for-vagueness claim also fails. A statute is unconstitutionally vague if it "fails to provide people of ordinary intelligence a reasonable opportunity to understand what conduct it prohibits." *SEC v. Gemstar-TV Guide Int'l, Inc.*, 401 F.3d 1031, 1048 (9th Cir. 2005) (en banc) (quoting *Hill v. Colorado*, 530 U.S. 703, 732 (2000)). Section 922(g)(5)(B) quite clearly prohibits possession of firearms by all those admitted to the United States under a

[8] To the extent that Azano now claims that he qualified under § 922(y)(2), he failed to raise this affirmative defense below, and so it is forfeited. *See Brannan v. United Student Aid Funds, Inc.*, 94 F.3d 1260, 1266 (9th Cir. 1996).

nonimmigrant visa. Section 922(y)(2) includes an exception to this general rule for nonimmigrant visa holders who visit the United States for lawful hunting or sporting purposes. We interpret "sporting purposes" according to the narrow provision that includes it. The exception reasonably implies sporting activities that involve the use of guns, such as target shooting, or trap and skeet shooting. It does not suggest a broader definition including all recreational activities or possession of guns for pleasure. Section 922(y)(2)'s legislative history also supports this interpretation:

> [I]f you are someone who has come to the United States for lawful hunting or sporting hunts . . . that person is exempt. That person may purchase a gun while here for that purpose.

144 Cong. Rec. S8641 (daily ed. July 21, 1998) (statement of Sen. Durbin).

B1/B2 nonimmigrant visa holders do not automatically qualify for § 922(y)(2)'s exception and, by a plain reading of the statute, are subject to the prohibition on gun possession. Furthermore, § 922(y)(2) is not unconstitutionally vague as applied to B1/B2 visa holders. Accordingly, we affirm the district court's holdings and Azano's conviction under § 922(g)(5)(B).

VI

Finally, Appellants seek our review of the district court's denial of several trial motions. First, Azano argues that the district court abused its discretion in denying his motion for a new trial based on alleged ineffective assistance of his trial counsel, Michael Wynne. Singh also argues that the district

court abused its discretion when denying his motion to sever the trial from co-defendants Cortes and Hester.

A.

"[W]hen a claim of ineffective assistance of counsel is first raised in the district court prior to the judgment of conviction, the district court may, and at times should, consider the claim at that point in the proceeding." *United States v. Steele*, 733 F.3d 894, 897 (9th Cir. 2013) (quoting *United States v. Brown*, 623 F.3d 104, 113 (2d Cir. 2010)). However, the decision of whether to review the claim "is best left to the discretion of the district court." *Id.* "We are mindful that district courts face competing considerations in deciding whether it is appropriate to inquire into the merits of [ineffective assistance] claims prior to judgment, including . . . the . . . disruption of the proceedings." *Id.* at 898 (alterations in original) (quoting *Brown*, 623 F.3d at 113). Such considerations include "the existence of evidence already in the record indicating ineffective assistance of counsel," "the scope of the evidentiary hearing that would be required to fully decide the claim," and the need to relieve trial counsel, appoint new counsel, or consider the availability of post-conviction counsel if the claim is not heard until then. *Id.*

In denying Azano's motion for a new trial, the district court explained that "the trial record here is not sufficiently developed to enable the [c]ourt to resolve the multiple and varied ineffective assistance of counsel claims being asserted by Mr. Azano . . . . Mr. Azano sets forth, by my count, no less than a dozen separate grounds in support of that claim, each of which would have to be considered and evaluated individually." The court agreed with the government that there would be "a long delay in resolving

the case, and . . . [it] would run afoul of this [c]ourt's duty to promote the interest of justice and judicial economy."

The district court did not abuse its discretion. We agree with the court that there are a number of claims at issue even though Azano frames his motion as a single ineffective assistance of counsel claim. We observe, at a minimum, ineffective assistance of counsel claims for failure to proffer a defense, failure to introduce exculpatory evidence, and failure to adequately investigate. To address such claims, the court would have needed to examine counsel's reasons and motivations for taking and not taking certain actions, which would have resulted in a prolonged evidentiary hearing. Additionally, Azano's ability to retain post-conviction representation relieves concerns that the claim may not receive due consideration in a collateral proceeding.

Other considerations weigh in Azano's favor. Azano appointed another attorney for post-trial motions, eliminating the district court's need "to relieve the defendant's attorney, or in any event, to appoint new counsel in order to properly adjudicate the merits of the claim." *Id.* (quoting *Brown*, 623 F.3d at 113). Further, waiting for post-conviction relief may result in some prejudice to Azano by "weakening of memories and aging of evidence," as well as time Azano will be incarcerated waiting for the claims to be heard. *Id.* at 897. Still, given the considerations weighing against Azano, we cannot say the district court abused its discretion.

Azano also requests that we review his ineffective assistance of counsel claim directly on appeal. Generally, we will not entertain ineffective assistance of counsel claims on direct appeal because the record is often undeveloped "as to what counsel did, why it was done, and what, if any, prejudice resulted." *United States v. Andrews*, 75 F.3d 552,

557 (9th Cir. 1996) (quoting *United States v. Rewald*, 889 F.2d 836, 859 (9th Cir. 1989)). "This is so even if the record contains some indication of deficiencies in counsel's performance." *Massaro v. United States*, 538 U.S. 500, 504 (2003). We will consider an ineffective assistance claim on direct appeal only "where the record is sufficiently developed to permit review and determination of the issue, or the legal representation is so inadequate that it obviously denies a defendant his Sixth Amendment right to counsel." *Steele*, 733 F.3d at 897 (quoting *United States v. Rivera-Sanchez*, 222 F.3d 1057, 1060 (9th Cir. 2000)). Neither circumstance applies here.

B.

Singh argues that the district court abused its discretion in denying his motion to sever his trial from all defendants except Azano. However, "[i]t is well settled that the motion to sever 'must be renewed at the close of evidence or it is waived.'" *United States v. Alvarez*, 358 F.3d 1194, 1206 (9th Cir. 2004) (quoting *United States v. Restrepo*, 930 F.2d 705, 711 (9th Cir. 1991)). The record does not show that Singh's counsel renewed the motion, nor does Singh proffer any reason as to why such waiver should not apply. Accordingly, we find that Singh waived this argument.

Relatedly, Singh argues that the joint trial compromised his due process rights due to the "irresponsible actions of Azano's attorney." Singh points us to *People v. Estrada*, 75 Cal. Rptr. 2d 17 (Ct. App. 1998), as authority for such a claim. In *Estrada*, the state court found that co-defendant's counsel improperly suggested that the defendant was more culpable than his client. *Id.* at 23. Even if we were to recognize that such conduct gives rise to a due process violation, the record does not show that Azano's counsel made any similar suggestion here.

CONCLUSION

We reverse Azano's and Singh's convictions under count thirty-seven for falsification of campaign records, finding the evidence insufficient to support all material elements. We affirm all other convictions. We vacate Azano's and Singh's sentences and remand for re-sentencing in accordance with this opinion.

AFFIRMED IN PART, REVERSED IN PART, and REMANDED FOR RE-SENTENCING.